Goldman Sachs Research

Equity Research

2 August 2026 | 4:45PM HKT

APAC CONVICTION LIST - DIRECTORS' CUT

August update: Adding Samsung Electronics, Keyence, Shengyi Tech, BYD, Hong Kong Exchanges; removing Victory Giant, Yaskawa Electric

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APAC Conviction List - Director's Cut

See the list >

CL

We add **Samsung Electronics, Keyence, Shengyi Tech, BYD, Hong Kong Exchanges** to the APAC Conviction List whilst removing **Victory Giant, Yaskawa Electric**.

Samsung Electronics Giuni Lee expects memory demand to significantly outpace supply, with the gap widening in 2027 and continuing into 2028. Following the recent 40% share price correction, Giuni argues that risk/reward is good with the stock trading at 3.1x P/E and 1.2x P/B on 2027E numbers (P/B close to a downcycle multiple), and offering close to a 50% ROE. Giuni forecasts 2026E/2027E/2028E operating profit of W379tn/W562tn/W650tn, driven by continued solid memory pricing and the strength coming from AI/server related demand. Specifically, Giuni expects DRAM operating margins to remain elevated at around 80%, while NAND margins exceed 60%. This is supported by long-term agreements (LTAs) covering 60-70% of planned production capacity, which include substantial advance payments and floor prices to protect downside risk.

Keyence: Yuichiro Isayama believes Keyence's earnings revision cycle has further room to run, on the back of: (1) Structurally strong demand driven by broadening AI/semiconductor capex, with Keyence's sensors and electrical equipment having the strongest momentum in the current cycle in his view; (2) The company's same-day delivery model is gaining share when peers are struggling with production constraints and procurement difficulties; (3) Keyence continues to hold the highest profitability and FCF generation power among global FA peers, with 1Q OPM reaching a record 54%. In addition, Yuichiro expects shareholder returns to improve towards a 60–70% total payout ratio from FY3/27E, providing an additional re-rating catalyst.

Shengyi Tech: Allen Chang expects Shengyi Tech to deliver strong net income growth of 104% / 73% YoY in 2026 / 27E, driven by the robust AI CCL end demand as AI server shipments ramp up, specification upgrades towards M9 and above, as well as price increases. Allen expects AI server PCB revenue contribution to reach ~40% in 2027E and further expand to 50%+ in the long run, with OPM expanding from 15% in 2025 to 20% in 2027E. He believes the current valuation of 24x 2027E P/E does not reflect this growth trajectory, with his EPS estimates 18% / 42% higher than Bloomberg consensus in 2026-27E.

BYD: Tina Hou forecasts a 30% earnings CAGR over 2026E-2028E, with overseas profit contribution increasing from 21% in 2024 to 81% by 2028E, accounting for more than half of the valuation. She models BYD's overseas (ex-US) sales volume at 1.7mn-3.5mn in 2026E-2035E, driven by: (1) NEV penetration ramp-up into mass-adoption phase supported by increasing supply of models; and (2) BYD's product competitiveness driving market share gains. For 2026E, Tina expects operating cash flow to improve as the company has meaningfully lowered payable days last year, and free cash flow to turn positive together with capex peaking out.

Hong Kong Exchanges: While investors question the sustainability of elevated trading and listing activities, Thomas Wang believes ADT is likely to continue to increase, driven by 1) rising contribution from new IPOs, on the back of a record listing pipeline and strong post-IPO performances; 2) diminishing drag from large internet companies, which are reaching a profit growth inflection point in the second half of 2026; and 3) further market structure enhancement initiatives. He forecasts 11% FY26E profit growth, and sees valuation as attractive with the stock trading at 25X FY26 P/E, vs. 10-year historical average of 34X.

In addition, we highlight the upcoming catalysts for all the stocks on our APAC Conviction List, as well as key strategy and sector reports across **IPO Surge, Global Markets, Asia Tech 2H Strategy, China AI Models, China Batteries**.

Exhibit 1: APAC Conviction List - Directors' Cut

August 2026: All price targets are for 12 months; prices are in LCY as of Jul 31, 2026; green shading indicates new additions

Ticker	Company Name	Market Cap ($, mn)	Last Close	Target Price	Upside to 12m PT	12m Fwd Div Yield	Total Return Potential (12m)	GS vs. Cons*	Analyst	Market / Exchange
Consumer										
1364.HK	Guming Holdings Ltd.	7,091	23.38	31	33%	3%	36%	-1%	Michelle Cheng	China H
3288.HK	Foshan Haitian Flavouring & Food	24,537	32.88	45.6	39%	4%	43%	-1%	Leaf Liu	China H
TACN.BO	Tata Consumer Products Ltd.	10,458	1082.80	1440	33%	1%	34%	3%	Arnab Mitra	India
YUMC	Yum China Holdings	16,623	48.18	59	22%	3%	25%	0%	Michelle Cheng	China US
Financials										
0012.HK	Henderson Land	17,534	28.40	41	44%	4%	49%	3%	Simon Cheung, CFA	Hong Kong
0388.HK	Hong Kong Exchanges	65,876	408.60	540	32%	3%	36%	2%	Thomas Wang	Hong Kong
8411.T	Mizuho FG	124,821	8,167	9300	14%	2%	16%	2%	Makoto Kuroda	Japan
105560.KS	KB Financial Group	46,913	168,500	214000	27%	3%	30%	4%	Sinyoung Park	South Korea
Healthcare										
RMD.AX	ResMed Inc.	30,761	29.79	46.7	57%	1%	58%	6%	Davin Thillainathan, CFA	Australia
2359.HK	WuXi AppTec Co.	60,841	160.70	169.8	6%	2%	7%	7%	Ziyi Chen	China H
Industrials										
ALQ.AX	ALS Ltd.	7,688	21.61	28.3	31%	2%	33%	3%	Niraj Shah	Australia
JARD.SI	Jardine Matheson	19,332	66.41	90	36%	4%	40%	5%	Simon Cheung, CFA	Hong Kong
300124.SZ	Shenzhen Inovance Technology Co.	25,700	64.06	92.9	45%	1%	46%	3%	Jacqueline Du	China A
6861.T	Keyence	122,361	81,150	115000	42%	1%	43%	7%	Yuichiro Isayama	Japan
Internet & IT Services										
NTES	NetEase Inc.	84,603	133.27	169	27%	3%	30%	2%	Lincoln Kong, CFA	China US
Mobility										
1211.HK	BYD Co.	109,465	94.15	134	42%	1%	43%	0%	Tina Hou	China H
MRTI.BO	Maruti Suzuki India	46,920	14239.40	16900	19%	1%	20%	10%	Chandramouli Muthiah	India
012330.KS	Hyundai Mobis	30,294	476,000	710000	49%	2%	51%	0%	Do Hyoung Kim	South Korea
Natural Resources										
RMS.AX	Ramelius Resources	4,048	3.05	4.85	59%	1%	60%	5%	Hugo Nicolaci	Australia
010950.KS	S-Oil Corp.	10,395	127,300	156000	23%	4%	26%	0%	Nikhil Bhandari	South Korea
Technology										
2317.TW	Hon Hai	109,807	250.50	400	60%	4%	64%	7%	Allen Chang	Taiwan
6920.T	Lasertec	21,473	37,910	70000	85%	1%	86%	19%	Shuhei Nakamura	Japan
6981.T	Murata Mfg.	94,429	7,416	12900	74%	1%	75%	18%	Daiki Takayama	Japan
8046.TW	NYPCB	18,394	920	2310	151%	2%	153%	40%	Chao Wang	Taiwan
005930.KS	Samsung Electronics	1,235,563	262,500	490000	87%	4%	91%	3%	Giuni Lee	South Korea
600183.SS	Shengyi Tech	37,488	105.64	247	134%	3%	137%	15%	Allen Chang	China A

*FY1 EPS: 1364.HK, 3288.HK, TACN.BO, YUMC, 0012.HK, 0388.HK, 8411.T, 105560.KS, 2359.HK, ALQ.AX, 300124.SZ, 6861.T, 1211.HK, RMS.AX, 010950.KS, 2317.TW, 6981.T, 8046.TW, 600183.SS ; FY1 EBITDA: ; FY1 Sales: MRTI.BO, 012330.KS ; FY2 EPS: RMD.AX, JARD.SI, NTES ; FY2 OP: 005930.KS ; FY3 OP: 6920.T

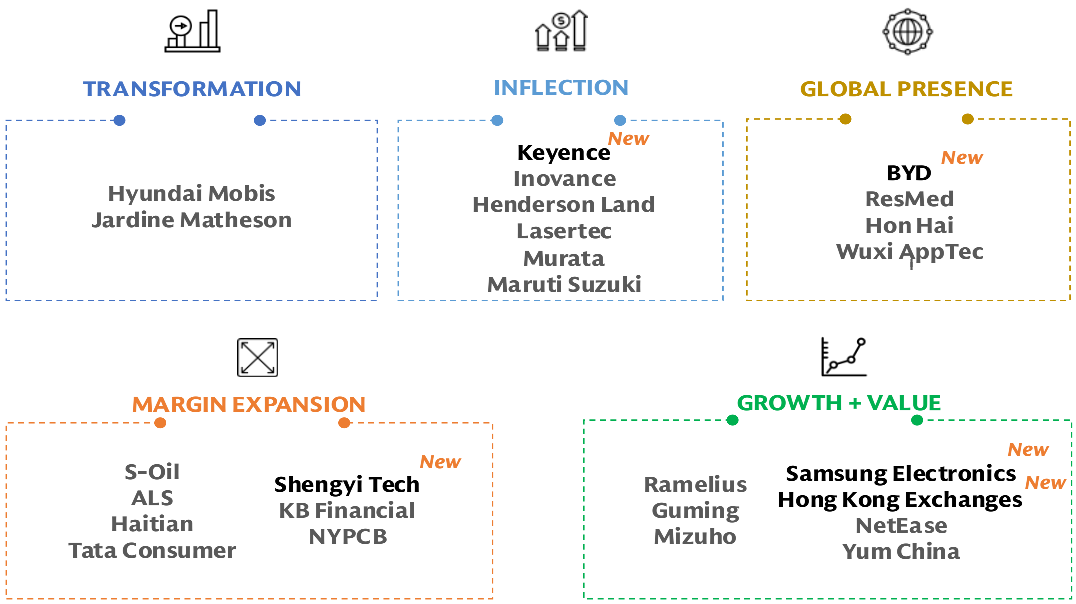
BYD-A price target is Rmb137 (Jul 31 close: Rmb95.77); NetEase-H price target is HK$264 (Jul 31 close: HK$207.8); Samsung Electronics Pref price target is W360000 (Jul 31 close: W191000); Wuxi AppTec-A price target is Rmb151.9 (Jul 31 close: Rmb128.43); Yum China-H price target is HK$459 (Jul 31 close: HK$372.8)

Source: Goldman Sachs Global Investment Research, Bloomberg

Our 26 Differentiated Buy Recommendations

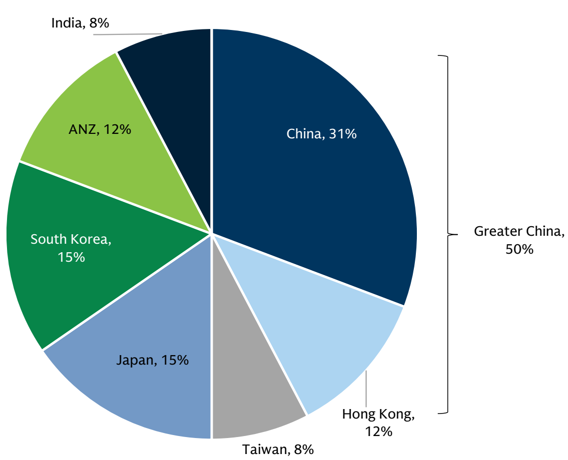
The company-specific discussion in the sections below reflects the views of the covering analyst.

Exhibit 2: Anatomy of the List



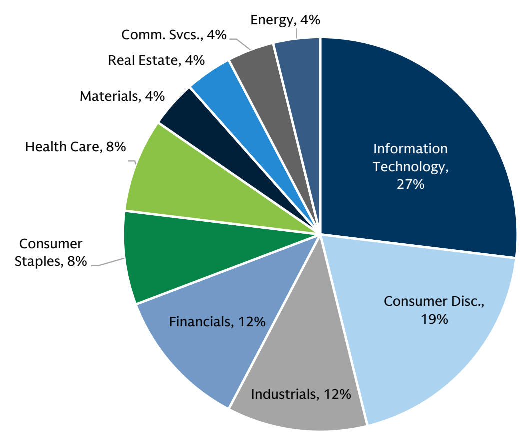
Source: Goldman Sachs Global Investment Research

Exhibit 3: Regional exposure of the APAC Conviction List
Companies by domicile (%)



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 4: Sector exposure of the APAC Conviction List
Companies by GICS Level 1 Sector (%)



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 5: APAC Conviction List - Directors' Cut

Ticker	Company Name	Summary
Consumer		
1364.HK	Guming Holdings Ltd.	High growth visibility amid consumption uncertainties
3288.HK	Foshan Haitian Flavouring & Food	Solid growth visibility as the leader pivots to a recovery path
TACN.BO	Tata Consumer Products Ltd.	Industry leading mid-teens volume growth, margin recovery on track
YUMC	Yum China Holdings	Growth certainty with strong track record navigating market volatility
Financials		
0012.HK	Henderson Land	Recovery after prolonged downturn
0388.HK	Hong Kong Exchanges	Attractive risk/reward as ADT primed for further growth
8411.T	Mizuho FG	Entering new phase of growth investment & shareholder returns
105560.KS	KB Financial Group	Operating & earnings momentum not reflected in consensus expectations
Healthcare		
RMD.AX	ResMed Inc.	Well-placed for a re-rate with levers in place
2359.HK	WuXi AppTec Co.	Favorable product cycle and technology depth in TIDES drive visibility beyond 2026
Industrials		
ALQ.AX	ALS Ltd.	Improving commodities momentum continues to drive cyclical leverage
JARD.SI	Jardine Matheson	Strategic change to drive efficiency gains and unlock value
300124.SZ	Shenzhen Inovance Technology Co.	Order momentum, capacity expansion and price hikes drive re-acceleration
6861.T	Keyence	Operating profit momentum and shareholder returns to unlock higher multiples
Internet & IT Services		
NTES	NetEase Inc.	A compelling "non-AI" compounder, well-placed into 2H26 with catalysts ahead
Mobility		
1211.HK	BYD Co.	Overseas acceleration with domestic recovery set in motion
MRTI.BO	Maruti Suzuki India	Small car elasticity + Product cycle inflection
012330.KS	Hyundai Mobis	Higher multiple justified on robotics and autonomous driving strategy revamp
Natural Resources		
RMS.AX	Ramelius Resources	An attractive mix of longer term value and output growth
010950.KS	S-Oil Corp.	Refining supercycle underpinned by structural tightness
Technology		
2317.TW	Hon Hai	Growth acceleration from AI servers & smartphones
6920.T	Lasertec	Earnings to accelerate, driven by game-changing new product
6981.T	Murata Mfg.	Tightening MLCC demand/supply driving earnings momentum
8046.TW	NYPCB	Elongated pricing upcycle to drive above consensus growth
005930.KS	Samsung Electronics	Memory tightness and HBM leadership driving upside
600183.SS	Shengyi Tech	AI CCL riding on growing AI infrastructure trend, spec upgrades, and price increases

Source: Goldman Sachs Global Investment Research

Upcoming Catalysts

We provide a rolling calendar of earnings and non-earnings events our analysts have identified as possible catalysts.

Exhibit 6: Upcoming Non-Earnings Catalysts

Ticker	Company Name	Date	Event
012330.KS	Hyundai Mobis	Aug-2026	Hyundai Motor's CEO Investor Day
NTES	NetEase Inc.	Sep-2026	Potential inclusion into Southbound Connect
RMD.AX	ResMed Inc.	4Q 2026	The launch of RMD's new NIV devices (AirCurve 11 ST and AirCurve 11 ST-A)

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: Upcoming Earnings Catalysts in the Next 3 Months

Ticker	Company Name	Date	Event
2359.HK	WuXi AppTec Co.	8/3/2026	2026 Second Quarter Earnings Release
010950.KS	S-Oil Corp.	8/3/2026	2026 Second Quarter Earnings Release
6920.T	Lasertec	8/6/2026	2026 Annual Earnings Release
8046.TW	NYPCB	8/6/2026	2026 Second Quarter Earnings Release
RMD.AX	ResMed Inc.	8/6/2026	2026 Fourth Quarter Earnings Release
2317.TW	Hon Hai	8/12/2026	2026 Second Quarter Earnings Release
600183.SS	Shengyi Tech	8/14/2026	2026 Second Quarter Earnings Release
1211.HK	BYD Co.	8/14/2026	2026 Second Quarter Earnings Release
NTES	NetEase Inc.	8/14/2026	2026 Second Quarter Earnings Release
0388.HK	Hong Kong Exchanges	8/19/2026	2026 Second Quarter Earnings Release
0012.HK	Henderson Land	8/20/2026	2026 First Half Earnings Release
1364.HK	Guming Holdings Ltd.	8/26/2026	2026 First Half Earnings Release
300124.SZ	Shenzhen Inovance Technology Co.	8/28/2026	2026 Second Quarter Earnings Release
3288.HK	Foshan Haitian Flavouring & Food	8/28/2026	2026 Second Quarter Earnings Release
6861.T	Keyence	10/29/2026	2027 First Half Earnings Release
105560.KS	KB Financial Group	10/30/2026	2026 Third Quarter Earnings Release
MRTI.BO	Maruti Suzuki India	10/30/2026	2027 Second Quarter Earnings Release
6981.T	Murata Mfg.	10/30/2026	2027 First Half Earnings Release
005930.KS	Samsung Electronics	10/30/2026	2026 Third Quarter Earnings Release

Source: Bloomberg, Goldman Sachs Global Investment Research

Samsung Electronics - Memory tightness and HBM leadership driving upside

*Covered by **Giuni Lee** (giuni.lee@gs.com, +82 2 3788-1177)*

005930.KS	**12m Price Target: W490000**	**Price: W262500**	**Upside: 86.7%**
005935.KS	**12m Price Target: W360000**	**Price: W191000**	**Upside: 88.5%**

Buy CL	GS Forecast				
		12/25	**12/26E**	**12/27E**	**12/28E**
Market cap: W1761.5tr / $1.2tr	Revenue (W bn)	333,606	720,048	928,291	1,056,616
Enterprise value: W1568.2tr / $1.1tr	EBITDA (W bn)	90,528	432,380	626,297	728,391
3m ADTV :W9.8tr/ $6.5bn	EPS (W)	6,627.11	45,622.97	67,344.30	78,969.96
South Korea	P/E (X)	10.8	5.8	3.9	3.3
Korea Technology	P/B (X)	1.1	2.3	1.6	1.1
	Dividend yield (%)	2.3	4.4	4.4	4.4
M&A Rank: 3	N debt/EBITDA (ex lease,X)	(1.1)	(0.5)	(0.7)	(1.0)
Leases incl. in net debt & EV?: Yes	CROCI (%)	13.1	39.6	43.9	43.5
	FCF yield (%)	7.7	7.0	18.6	22.7
		6/26	**9/26E**	**12/26E**	**3/27E**
	EPS (W)	10,824.90	13,303.37	14,392.82	14,987.59

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 31 Jul 2026 close.

Core Thesis: Giuni Lee expects memory demand to significantly outpace supply, with the gap widening in 2027 and continuing into 2028. Following the recent 40% share price correction, Giuni argues that risk/reward is good with the stock trading at 3.1x P/E and 1.2x P/B on 2027E numbers (P/B close to a downcycle multiple), and offering close to a 50% ROE. Giuni forecasts 2026E/2027E/2028E operating profit of W379tn/W562tn/W650tn, driven by continued solid memory pricing and the strength coming from AI/server related demand. Specifically, Giuni expects DRAM operating margins to remain elevated at around 80%, while NAND margins exceed 60%. This is supported by long-term agreements (LTAs) covering 60-70% of planned production capacity, which include substantial advance payments and floor prices to protect downside risk.

Key debates & GS views:

- **Is the memory cycle already peaking?** Giuni acknowledges investors' concerns on cycle longevity and potential oversupply. That said, data suggests positive offset potential from structural AI demand and limited capacity additions. Giuni expects 2027 supply/demand for conventional DRAM, NAND, and HBM to be tighter than 2026, with undersupply extending into 2028. Specifically, Giuni expects 2026E/2027E/2028E undersupply of -5.0%/-5.9%/-3.9% for DRAM, -4.4%/-4.6%/-3.0% for NAND, and -5.4%/-6.0%/-4.3% for HBM. Where Giuni differs from market expectations is the view that binding LTAs—featuring take-or-pay clauses and cancellation penalties—will provide much better earnings visibility and stability compared to previous cycles.
- **Can Samsung achieve market leadership in HBM?** Giuni believes the company's HBM trajectory has not yet reached its ceiling, given the significant improvement in its product mix. Giuni expects HBM4 revenue to grow by more than 3x qoq in 3Q26

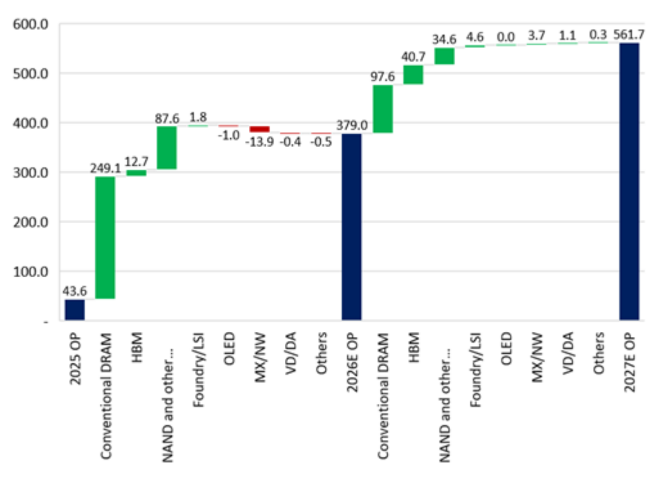
and reach over 60% of HBM revenue in 2H26. As a result, Giuni expects the company to achieve an HBM market share in 2H26 similar to its conventional DRAM market share, positioning it as the market leader in the AI memory space.

- **Is consensus underestimating HBM pricing upside?** Giuni expects HBM pricing will catch up to conventional DRAM due to rising conventional DRAM pricing and tight supply. Giuni forecasts SEC HBM pricing to rise 87% yoy next year, which is significantly above the Visible Alpha consensus estimate of 52% yoy. Giuni acknowledges risks regarding a sharp contraction in smartphone margins, but expects memory profit growth to more than offset these pressures.
- **Material upside in shareholder return?** Giuni expects the substantial FCF generation coming from the memory business strength to lead to a material upside to the company's shareholder return, where DPS estimates for 2026E/2027E/2028E are 22%/37%/18% higher than Bloomberg consensus estimates.

Catalysts: **1) Capital returns:** Special shareholder return announcement, including potential special dividend or buyback, expected in the near future. **2) LTAs:** Finalization of LTAs with five additional large AI customers, securing multi-year deposits. **3) HBM volume and pricing upside:** New HBM orders from customers and 2027 HBM pricing agreements with major customers.

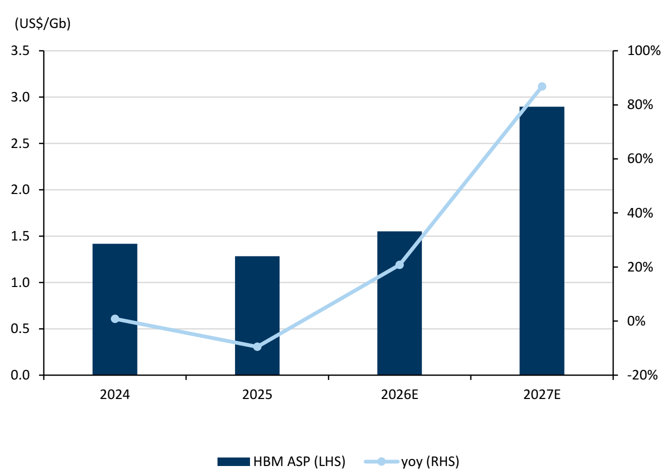
Valuation & TP: 12m TP of W490,000 is based on a 2026-2027E EV/EBITDA-based SOTP methodology, which implies approximately a 9x P/E multiple on 2026E-2027E average EPS.

Exhibit 8: SEC OP waterfall chart
(W tn)



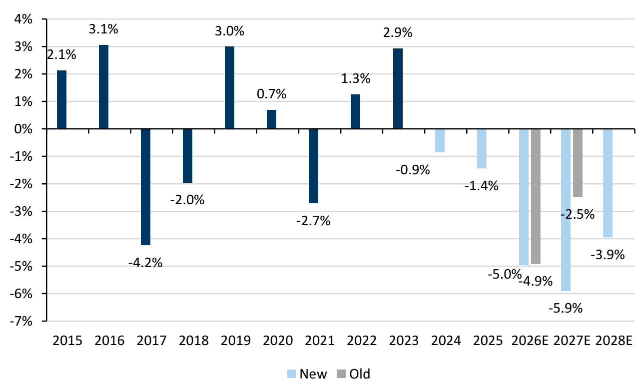
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 9: SEC HBM ASP and yoy growth



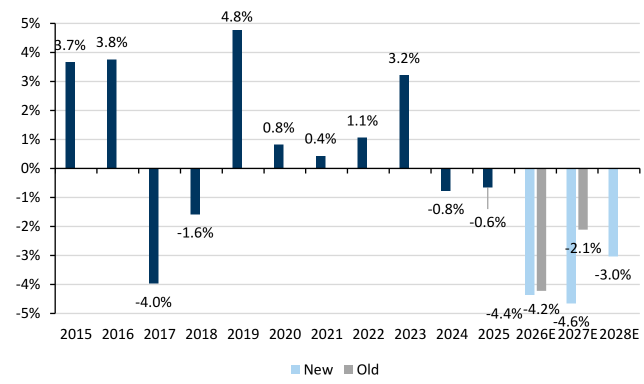
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 10: Giuni expects 2026E DRAM S/D will be in an undersupply of 5.0%, and 2027E to see a larger undersupply of 5.9%
DRAM Supply & Demand



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 11: Giuni expects 2026E NAND S/D will be in an undersupply of 4.4%, and 2027E to see undersupply of 4.6%
NAND Supply & Demand



Source: Company data, Goldman Sachs Global Investment Research

Relevant Research:

Earnings Review: 2Q26 OP inline with prelim: solid memory fundamentals and attractive risk/reward; raise TP to W490K and reiterate Buy

Takeaways from Korea memory expert call

Global Memeory: Higher for longer DRAM/NAND/HBM cycles to expand memory valuation multiples; Raise TPs for Samsung/Hynix and reiterate Buys, upgrade Kioxia to Buy

Buy CL

Samsung Electronics (005930.KS)

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Price: W262,500
12m Price Target: W490,000
Upside: 86.7%
Price as of Jul 31, 2026

Key Data		
Market cap	W1,761.5tr	$1.2tr
Enterprise value	W1,568.2tr	$1.1tr
3m ADTV	W9.8tr	$6.5bn
South Korea		
Korea Technology		
M&A Rank	3	
Leases incl. in net debt & EV?	Yes	

GS Forecast	2023	2024	2025	2026E	2027E	2028E
Revenue (W bn)	258,935.5	300,870.9	333,605.9	720,048.4	928,291.4	1,056,615.6
EBITDA (W bn)	45,233.5	75,356.8	90,527.6	432,380.2	626,297.0	728,390.7
EPS (W)	2,130.7	4,953.0	6,627.1	45,623.0	67,344.3	78,970.0
P/E (X)	31.7	14.5	10.8	5.8	3.9	3.3
P/B (X)	1.3	1.2	1.1	2.3	1.6	1.1
Dividend yield (%)	2.1	2.0	2.3	4.4	4.4	4.4
N debt/EBITDA (ex lease,X)	(1.8)	(1.3)	(1.1)	(0.5)	(0.7)	(1.0)
CROCI (%)	7.3	12.2	13.1	39.6	43.9	43.5
FCF yield (%)	(3.2)	4.2	7.7	7.0	18.6	22.7

Ratios & Valuations	2023	2024	2025	2026E	2027E	2028E
P/E (X)	31.7	14.5	10.8	5.8	3.9	3.3
P/B (X)	1.3	1.2	1.1	2.3	1.6	1.1
FCF yield (%)	(3.2)	4.2	7.7	7.0	18.6	22.7
EV/EBITDAR (X)	8.5	5.3	4.2	3.4	2.0	1.3
EV/EBITDA (excl. leases) (X)	8.7	5.3	4.2	3.4	2.0	1.3
CROCI (%)	7.3	12.2	13.1	39.6	43.9	43.5
ROE (%)	4.1	9.0	10.9	51.6	48.0	39.2
Net debt/equity (%)	(20.4)	(21.9)	(21.8)	(27.4)	(38.4)	(46.2)
Net debt/equity (excl. leases) (%)	(21.7)	(23.2)	(23.1)	(28.3)	(39.1)	(46.7)
Interest cover (X)	8.7	47.8	117.6	487.1	856.6	1,067.5
Days inventory outst, sales	73.2	62.7	57.1	33.7	34.9	35.2
Receivable days	51.0	48.7	51.8	51.1	64.4	68.4
Days payable outstanding	22.2	23.2	22.9	22.0	21.5	21.5
DuPont ROE (%)	4.0	8.4	10.1	39.8	39.6	33.3
Turnover (X)	0.6	0.6	0.6	0.8	0.7	0.6
Leverage (X)	1.3	1.3	1.3	1.2	1.1	1.1
Gross cash invested (ex cash) (W)	586,903.3	651,762.9	713,970.7	919,660.8	1,084,209.7	1,272,605.5
Average capital employed (W)	266,745.8	296,749.7	322,322.7	438,667.4	611,761.5	756,112.0
BVPS (W)	51,984.6	57,804.0	63,979.2	112,747.2	167,960.8	234,720.4

Growth & Margins (%)	2023	2024	2025	2026E	2027E	2028E
Total revenue growth	(14.3)	16.2	10.9	115.8	28.9	13.8
EBITDA growth	(45.2)	66.6	20.1	377.6	44.8	16.3
EPS growth	(73.6)	132.5	33.8	588.4	47.6	17.3
DPS growth	0.0	0.1	15.4	589.1	0.0	0.0
EBIT margin	2.5	10.9	13.1	52.6	60.5	61.5
EBITDA margin	17.5	25.0	27.1	60.0	67.5	68.9
Net income margin	5.6	11.2	13.3	41.7	47.7	49.2

Source: Company data, Goldman Sachs Research estimates.

Keyence: Operating profit momentum and shareholder returns to unlock higher multiples

*Covered by **Yuichiro Isayama** (yuichiro.isayama@gs.com, +81 3 4587-9806)*

6861.T	12m Price Target: ¥115000	Price: ¥81150	Upside: 41.7%

Buy CL	GS Forecast				
		3/26	3/27E	3/28E	3/29E
Market cap: ¥19.5tr / $122.4bn	Revenue (¥ bn)	1,169.3	1,508.0	1,652.0	1,803.0
Enterprise value: ¥17.9tr / $112.3bn	Op. profit (¥ bn)	595.8	800.0	860.0	940.0
3m ADTV :¥58.1bn/ $363.0mn	Op. profit CoE (¥ bn)	--	--	--	--
Japan	EPS (¥)	1,835.6	2,382.5	2,594.5	2,874.9
Japan Industrials	P/E (X)	31.5	34.1	31.3	28.2
	P/B (X)	4.0	5.3	5.0	4.7
M&A Rank: 3	Dividend yield (%)	1.0	0.9	1.1	1.2
Leases incl. in net debt & EV?: No	N debt/EBITDA (ex lease,X)	(2.4)	(2.0)	(1.9)	(1.9)
	CROCI (%)	23.4	29.4	30.4	32.1
		6/26	9/26E	12/26E	3/27E
	EPS (¥)	579.5	--	--	--

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 31 Jul 2026 close.

Core Thesis: Yuichiro Isayama believes Keyence's earnings revision cycle has further to room to run, following the landmark 1Q beat. His conviction rests on three pillars: **(1)** Demand remains structurally strong, driven by AI/semiconductor capex broadening across Japan, the Americas, and Asia ex-Japan. He believes Keyence sits at the center of AI/semiconductor driven capex — sensors and electrical equipment is the area where he sees the strongest momentum in the coming cycle; **(2)** Execution is proving the thesis right — the company's same-day delivery model is gaining share when peers are struggling with production constraints and procurement difficulties; and **(3)** this is not just a revenue story. Keyence continues to hold the highest profitability and FCF generation power among global FA peers, with 1Q OPM reaching a record 54% and GPM hitting 85% — both materially above his already-above-consensus estimates. Furthermore, the deployment of that strong FCF generation capacity toward shareholder returns has yet to be realized, giving the stock compelling additional upside in Yuichiro's view.

Despite the resilience in performance, Keyence's current valuation remains below its own historical trading range during prior peak cycles. As Yuichiro expects shareholder returns to improve towards a 60–70% total payout ratio from FY3/27E, he believes the stock's appeal to a broader investor base should expand, providing an additional re-rating catalyst beyond pure earnings momentum.

Key debates & GS views:

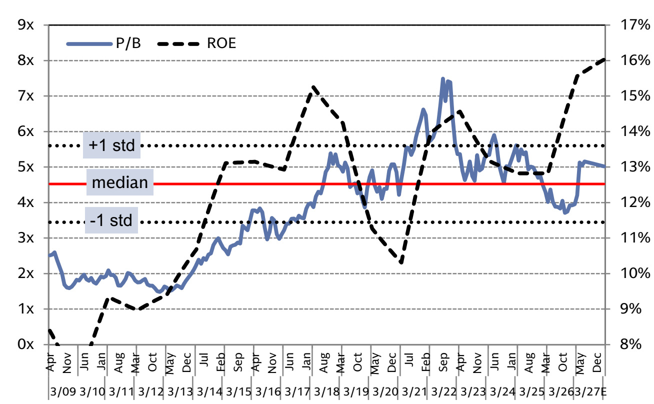
- **Earnings Revision Cycle Is Just Beginning:** As detailed in Yuichiro's 1Q review note, the tariff refund contribution (~¥4 bn) was modest. The beat was overwhelmingly driven by core business outperformance — revenue growth exceeded both his and market estimates by ~10% at the sales line, and by nearly 20% at the operating profit level in 1Q alone. Yuichiro raised his full-year OP estimates by **+10%/+6%/+6%** for FY3/27E–FY3/29E. His new estimates remain **+12%/+9%/+7% above consensus**, implying further upward revision potential for consensus ahead.

- **Pricing Is the Differentiator — And It's Working:** Price hikes implemented in Japan (April 2026) and the US (June 2025) are passing through smoothly. The company is actively considering further regional price adjustments. In a tight supply-demand environment where peers face lead time delays, Keyence's uninterrupted supply system is enabling effective price/mix improvement — a dynamic Yuichiro flagged as a key differentiator and which is now being confirmed in results. He continues to believe that the company's ability to maintain its business model integrity, including procurement and supply chain stability, should further widen the positive price-cost gap in its favor.
- **Regional Demand: Broad-Based, AI-Led:** Revenue growth was exceptionally strong across the board, led by Asia (+33.9% LC yoy), the strongest region. Semiconductors, electronics/precision, and AI server supply chains are the primary drivers. While the company did not comment in detail, Yuichiro continues to believe this rock-solid beat is being driven by AI data center-related demand, and is likely to persist for some time. As his Taiwan research indicates, he continues to see meaningful addressable share gains for Keyence in this environment.

Catalysts: 1) 2Q FY3/27 results (~October 2026): Should confirm sustained earnings power; a tariff refund tailwind of several tens of billions of yen provides additional upside. **2) Shareholder return announcement (2Q FY3/27 or later):** Yuichiro expects the total payout ratio to rise to **60–70%**, in line with SMC, Fanuc, and Mitsubishi Electric; the company's first share buyback is anticipated. **3) Capital deployment policy update (board ongoing):** The TSE's April 2026 guidance on cost-of-capital consciousness adds external pressure, while unrealized losses on bond holdings increase the urgency of balance sheet reform.

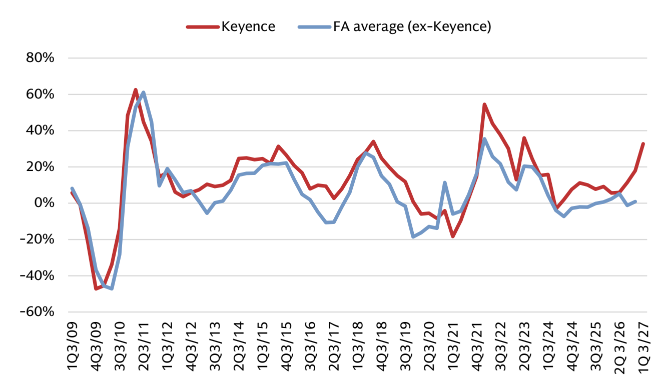
Valuation & TP: 12m TP of ¥115,000 is based on FY3/28E EV/EBITDA, applying the sector-average multiple of 10X and a 170% sector-relative premium.

Exhibit 12: While Yuichiro expects ROE to renew the highs over the next two years, the P/B multiple has not fully recovered
Keyence: 12-month forward ROE vs. P/B



Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 13: Keyence has been massively outperforming the overall automation peer group thanks to its differentiated business model — proven once again in the latest quarter
Revenue momentum (YoY) comparison: Keyence vs. Japanese FA peer group



Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Relevant Research:

Keyence: 1Q above expectations; strong profit generation continues. Focus shifts to capital deployment policy. Buy reiterated

Japan Machinery: Automation: Focusing on semiconductor-driven price hike effects; raising GSe/TP; attention on electrical FA

Japan Machinery: Prefer stocks positioned beyond peak cycle on AI Capex tailwind; Keyence/THK up to Buy/Neutral, SMC down to Neutral

Buy CL

Keyence (6861.T)

Yuichiro Isayama
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+81 3 4587-9806
Tokyo

Price: **¥81,700**
12m Price Target: **¥115,000**
Upside: **40.8%**
Price as of Jul 31, 2026

Key Data		
Market cap	¥19.6tr	$123.1bn
Enterprise value	¥18.0tr	$113.0bn
3m ADTV	¥57.8bn	$361.2mn
Japan		
Japan Industrials		
M&A Rank	3	
Leases incl. in net debt & EV?	No	

GS Forecast	**2024**	**2025**	**2026**	**2027E**	**2028E**	**2029E**	**2030E**
Revenue (¥ bn)	967.3	1,059.1	1,169.3	1,508.0	1,652.0	1,803.0	1,947.0
Op. profit (¥ bn)	495.0	549.8	595.8	800.0	860.0	940.0	1,010.0
Op. profit CoE (¥)	--	--	--	--	--	--	--
EPS (¥)	1,524.1	1,643.8	1,835.6	2,382.5	2,594.5	2,874.9	3,131.9
P/E (X)	41.9	40.6	31.5	34.3	31.5	28.4	26.1
P/B (X)	5.5	5.2	4.0	5.3	5.1	4.8	4.5
Dividend yield (%)	0.5	0.5	1.0	0.9	1.1	1.2	1.3
N debt/EBITDA (ex lease,X)	(2.2)	(2.2)	(2.4)	(2.0)	(1.9)	(1.9)	(1.9)
CROCI (%)	22.4	22.9	23.4	29.4	30.4	32.1	33.3

Ratios & Valuations	**2024**	**2025**	**2026**	**2027E**	**2028E**	**2029E**	**2030E**
P/E (X)	41.9	40.6	31.5	34.3	31.5	28.4	26.1
P/B (X)	5.5	5.2	4.0	5.3	5.1	4.8	4.5
FCF yield (%)	2.4	2.4	2.9	2.5	3.0	3.3	3.7
EV/EBITDAR (X)	28.2	26.5	20.4	22.0	20.0	17.9	16.2
EV/EBITDA (excl. leases) (X)	28.2	26.5	20.4	22.0	20.0	17.9	16.2
CROCI (%)	22.4	22.9	23.4	29.4	30.4	32.1	33.3
ROE (%)	14.0	13.5	13.5	16.0	16.4	17.2	17.7
Net debt/equity (%)	(40.4)	(39.2)	(43.0)	(43.7)	(44.6)	(45.5)	(46.6)
Net debt/equity (excl. leases) (%)	(40.4)	(39.2)	(43.0)	(43.7)	(44.6)	(45.5)	(46.6)
Interest cover (X)	--	--	--	--	--	--	--
Days inventory outst, sales	31.1	26.8	25.5	23.7	25.7	25.7	25.9
Receivable days	114.2	108.2	109.2	101.1	105.6	105.8	106.3
Days payable outstanding	35.6	30.5	23.7	24.2	29.5	30.5	30.9
DuPont ROE (%)	13.2	12.8	12.8	15.6	16.1	16.8	17.3
Turnover (X)	0.3	0.3	0.3	0.4	0.4	0.4	0.4
Leverage (X)	1.1	1.1	1.1	1.1	1.1	1.1	1.1
Gross cash invested (ex cash) (¥)	1,733.7	1,944.0	2,040.6	2,147.2	2,213.4	2,291.3	2,365.6
Average capital employed (¥)	1,612.3	1,781.4	1,933.5	2,023.5	2,093.9	2,147.3	2,202.2
BVPS (¥)	11,570.7	12,817.4	14,313.9	15,308.7	16,145.5	17,092.7	18,127.5

Growth & Margins (%)	**2024**	**2025**	**2026**	**2027E**	**2028E**	**2029E**	**2030E**
Total revenue growth	4.9	9.5	10.4	29.0	9.5	9.1	8.0
EBITDA growth	(0.3)	11.0	8.5	33.8	7.7	9.5	7.5
EPS growth	1.8	7.8	11.7	29.8	8.9	10.8	8.9
DPS growth	0.0	16.7	57.1	27.3	28.6	11.1	10.0
EBIT margin	51.2	51.9	51.0	53.1	52.1	52.1	51.9
EBITDA margin	52.6	53.3	52.4	54.4	53.5	53.6	53.4
Net income margin	38.2	37.6	38.1	37.9	37.2	37.3	37.0

Source: Company data, Goldman Sachs Research estimates.

Shengyi Tech: AI CCL riding on growing AI infrastructure trend, specification upgrades, and price increases

Covered by ***Allen Chang*** *(allen.k.chang@gs.com, +852 2978-2930)*

600183.SS	12m Price Target: Rmb247	Price: Rmb105.64	Upside: 133.8%

Buy CL	GS Forecast				
		12/25	12/26E	12/27E	12/28E
Market cap: Rmb253.0bn / $37.5bn	Revenue (Rmb mn)	28,431	45,067	70,931	100,484
Enterprise value: Rmb257.7bn / $38.2bn	EBITDA (Rmb mn)	5,213	9,362	15,753	22,592
3m ADTV :Rmb10.5bn/ $1.5bn	EPS (Rmb)	1.31	2.84	4.90	7.17
China	P/E (X)	30.8	37.3	21.6	14.7
Greater China Technology	P/B (X)	5.4	12.4	11.2	9.9
	Dividend yield (%)	2.8	2.3	4.1	5.9
M&A Rank: 3	N debt/EBITDA (ex lease,X)	0.4	0.2	0.1	0.1
Leases incl. in net debt & EV?: No	CROCI (%)	29.3	32.0	46.1	56.5
	FCF yield (%)	2.8	2.3	3.9	5.4
		3/26	6/26E	9/26E	12/26E
	EPS (Rmb)	0.48	0.86	0.76	0.73

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 31 Jul 2026 close.

Core Thesis: Shengyi Tech is a major CCL (Copper Clad Laminate) supplier, providing high speed CCLs for products across server, network communication, automotive electronics, consumer electronics, and industrial etc. The company is a key supplier of global leading GPU AI server racks, migrating to M9 grade CCL from 2026-27E to achieve lower signal loss, lower CTE (Coefficient of Thermal Expansion) and better heat dissipation. Allen believes Shengyi Tech is a key beneficiary of the AI infrastructure cycle and the combination of strong end demand, spec upgrades, price increases and customer expansion from GPU AI servers to ASIC AI servers will drive strong net income growth of 104% / 73% YoY in 2026 / 27E.

Allen expects AI server PCB revenue contribution to reach ~40% in 2027E and further expand to 50%+ in the long run, with OPM expanding from 15% in 2025 to 20% in 2027E. The current valuation of 24x 2027E P/E does not reflect this growth trajectory, with his EPS estimates 18% / 42% higher than Bloomberg consensus in 2026-27E.

Key debates & GS views:

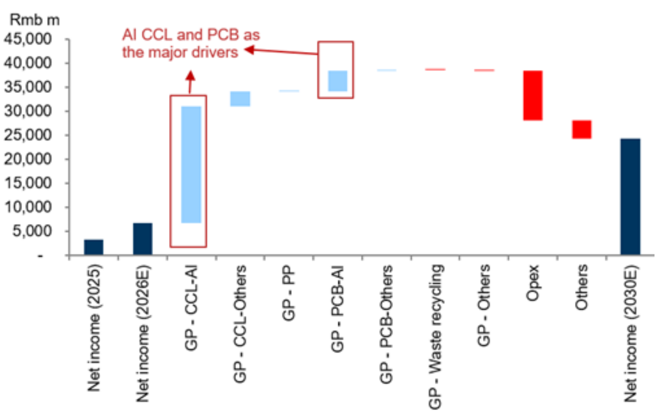
- **Will the market competition weigh on Shengyi's market share?** Allen argues that end customers would rely more on suppliers with stronger mass production capabilities, considering the AI CCL shortage globally. The company continues to ramp up new capacity in 2Q26, and has announced the new capex plan of Rmb5.2bn for CCL production lines. Besides the company's commitments on the capacity expansion, Allen sees Shengyi's accumulated efforts on its innovative product development (e.g. new materials, formula, processing etc.) supporting the migration to M9 and above CCL products and dollar content increase. This would bring potential market gains from peers as the AI CCL shortage continues.
- **Will the market demand slow down as AI infrastructure matures?** Allen argues that (1) specification upgrades continue with rising computing power per AI server

rack and towards high-speed connection, driving PCB and CCL dollar content increase, (2) rising PCB / CCL usage in AI servers, replacing copper cables as PCB is easier in the manufacturing of AI servers, (3) Shengyi is expanding from GPU to ASIC AI server with rising AI infrastructure demand in China market, which would drive the AI CCL end demand globally.

Catalysts: 1) AI CCL specification upgrades: specification upgrade of rack-level AI server towards higher speed leads to rising penetration of M9 and above products, driving global AI servers CCL value to grow 142%/ 222% YoY in 2026/ 27E. **2) CCL price increase:** Shengyi announced several rounds of price increase in YTD 2026, offsetting the rising raw material costs and supporting the margin expansion. **3) Next generation AI server ramping up:** next-generation rack-level AI server mass production in 3Q26, driving Shengyi's AI CCL shipments growth.

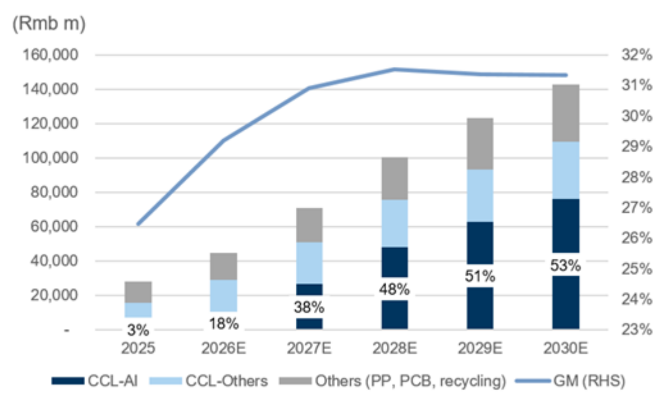
Valuation & TP: 12m TP of Rmb247 based on a target 2027E P/E multiple of 50.4x, derived from peers' correlation between forward year earnings growth and trading P/E multiple.

Exhibit 14: 2025-30E waterfall chart: AI CCL and PCB as key drivers



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 15: Shengyi's revenue and GM trends



Source: Company data, Goldman Sachs Global Investment Research

Relevant Research:

Shengyi Tech (600183.SS): CCL shipments growth and price increase driving growth; 2Q26 NI guidance beat; Buy

Shengyi Tech (600183.SS): Chairman visit: AI drives CCL specification upgrade; High-end CCL development to enhance competition edges

China PCB: Acceleration mode with spec upgrades, unit growth, and capacity expansion; Initiate Victory Giant, WUS, Shengyi Tech at Buy

Buy CL

Shengyi Tech (600183.SS)

Allen Chang
allen.k.chang@gs.com
+852 2978-2930
Hong Kong

Price: Rmb105.64
12m Price Target: Rmb247.00
Upside: 133.8%
Price as of Jul 31, 2026

Key Data		
Market cap	Rmb253.0bn	$37.4bn
Enterprise value	Rmb257.7bn	$38.1bn
3m ADTV	Rmb10.5bn	$1.5bn
China		
Greater China Technology		
M&A Rank	3	
Leases incl. in net debt & EV?	No	

GS Forecast	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue (Rmb mn)	16,586.1	20,388.3	28,431.1	45,067.3	70,930.8	100,484.1	123,253.2	143,039.5
EBITDA (Rmb mn)	2,115.4	2,860.8	5,212.6	9,362.3	15,753.0	22,592.1	27,706.2	32,032.9
EPS (Rmb)	0.50	0.74	1.31	2.84	4.90	7.17	8.76	10.14
P/E (X)	32.8	25.9	30.8	37.3	21.6	14.7	12.1	10.4
P/B (X)	2.4	2.7	5.4	12.4	11.2	9.9	8.8	7.8
Dividend yield (%)	2.7	3.2	2.8	2.3	4.1	5.9	7.2	8.4
N debt/EBITDA (ex lease,X)	0.3	0.5	0.4	0.2	0.1	0.1	0.1	0.1
CROCI (%)	17.3	15.2	29.3	32.0	46.1	56.5	58.9	60.0
FCF yield (%)	4.1	1.1	2.8	2.3	3.9	5.4	6.9	8.6

Ratios & Valuations	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
P/E (X)	32.8	25.9	30.8	37.3	21.6	14.7	12.1	10.4
P/B (X)	2.4	2.7	5.4	12.4	11.2	9.9	8.8	7.8
FCF yield (%)	4.1	1.1	2.8	2.3	3.9	5.4	6.9	8.6
EV/EBITDAR (X)	19.1	16.8	20.5	27.5	16.4	11.5	9.4	8.2
EV/EBITDA (excl. leases) (X)	19.1	16.8	20.5	27.5	16.4	11.5	9.4	8.2
CROCI (%)	17.3	15.2	29.3	32.0	46.1	56.5	58.9	60.0
ROE (%)	8.5	12.0	21.1	39.6	64.0	85.2	93.1	95.7
Net debt/equity (%)	3.6	9.3	10.1	9.1	9.5	12.5	13.0	8.6
Net debt/equity (excl. leases) (%)	3.6	9.3	10.1	9.1	9.5	12.5	13.0	8.6
Interest cover (X)	8.0	16.9	35.7	61.8	87.6	100.2	91.0	87.7
Days inventory outst, sales	91.9	84.1	70.0	53.1	41.4	37.7	35.7	35.7
Receivable days	122.3	115.0	108.2	80.0	55.0	45.0	45.0	45.0
Days payable outstanding	83.4	70.7	68.5	72.0	72.0	72.0	72.0	72.0
DuPont ROE (%)	7.4	10.5	17.6	33.2	51.8	67.3	72.8	74.6
Turnover (X)	0.7	0.7	0.9	1.2	1.6	1.8	2.0	2.1
Leverage (X)	1.6	1.7	1.7	1.9	2.0	2.2	2.1	2.1
Gross cash invested (ex cash) (Rmb)	21,969.3	23,902.6	25,680.1	28,213.1	32,008.2	37,547.6	43,399.1	48,595.7
Average capital employed (Rmb)	16,211.2	17,152.0	19,426.2	21,565.9	23,548.8	26,720.4	30,619.0	33,976.6
BVPS (Rmb)	6.74	7.02	7.41	8.54	9.45	10.64	12.03	13.60

Growth & Margins (%)	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Total revenue growth	(7.9)	22.9	39.4	58.5	57.4	41.7	22.7	16.1
EBITDA growth	(18.6)	35.2	82.2	79.6	68.3	43.4	22.6	15.6
EPS growth	(24.2)	48.0	76.5	117.1	72.6	46.4	22.2	15.8
DPS growth	0.3	37.2	86.6	117.1	72.6	46.4	22.2	15.8
EBIT margin	7.8	9.8	15.1	18.5	20.3	20.8	20.9	20.7
EBITDA margin	12.8	14.0	18.3	20.8	22.2	22.5	22.5	22.4
Net income margin	7.0	8.5	11.7	15.1	16.5	17.1	17.0	17.0

Source: Company data, Goldman Sachs Research estimates.

BYD: Overseas acceleration with domestic recovery set in motion

*Covered by **Tina Hou** (tina.hou@goldmansachs.cn, +86 21 2401-8924)*

1211.HK	**12m Price Target: HK$134**	**Price: HK$94.15**	**Upside: 42.3%**
002594.SZ	**12m Price Target: Rmb137**	**Price: Rmb95.77**	**Upside: 43.1%**

Buy CL	GS Forecast				
		12/25	**12/26E**	**12/27E**	**12/28E**
Market cap: HK$858.4bn / $109.5bn	Revenue (Rmb mn)	803,965	914,606	1,026,171	1,132,221
Enterprise value: HK$800.7bn / $102.1bn	EBITDA (Rmb mn)	102,588	123,963	141,798	175,282
3m ADTV :HK$2.3bn/ $297.8mn	EPS (Rmb)	3.58	4.37	5.37	7.41
China	P/E (X)	29.4	18.5	15.1	10.9
China Mobility Tech	P/B (X)	3.9	2.6	2.3	1.9
	Dividend yield (%)	0.3	0.5	0.7	0.9
M&A Rank: 3	N debt/EBITDA (ex lease,X)	(0.2)	(0.4)	(0.7)	(1.0)
Leases incl. in net debt & EV?: Yes	CROCI (%)	32.1	26.6	26.9	28.2
	FCF yield (%)	(10.2)	4.5	7.6	11.3
		3/26	**6/26E**	**9/26E**	**12/26E**
	EPS (Rmb)	0.45	1.00	1.36	1.56

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 31 Jul 2026 close.

Core Thesis: Tina Hou expects the overseas market to become a key growth driver over the next decade for BYD and models its overseas (ex-US) sales volume at **1.7mn-3.5mn** in 2026E-2035E. Key drivers of overseas growth: (1) **NEV penetration ramp-up into mass-adoption phase supported by increasing supply of models:** NEV penetration in key overseas markets is currently around 4 years behind China (i.e. 4Q21 level) on average at 22%. This is around the same level where mass-adoption started in China, and **Tina expects the overseas market to follow China's >10% penetration increase (i.e. 2022-2024) in the upcoming years**. Such mass-adoption will also be supported by increasing supply of new models. (2) **BYD's product competitiveness driving market share gain:** Based on Tina's product comp analysis, BYD's models are highly competitive in key aspects including price, range, and size. Going forward, with a comprehensive portfolio of models readily developed in the domestic market, ongoing R&D investment, and expansion of sales network, **Tina believes that BYD is well positioned to gain the highest volume market share among global NEV companies**.

Tina forecasts a **30% earnings CAGR** over 2026E-2028E, with **overseas profit contribution increasing from 21% in 2024 to 81% by 2028E**, accounting for more than half of the valuation. For 2026E, Tina expects **operating cash flow to improve** as the company has meaningfully lowered payable days last year, and **free cash flow to turn positive** together with capex peaking out in 2025. On a quarterly basis, Tina expects 2Q26 EBIT to show both yoy and qoq improvement.

Key debates & GS views:

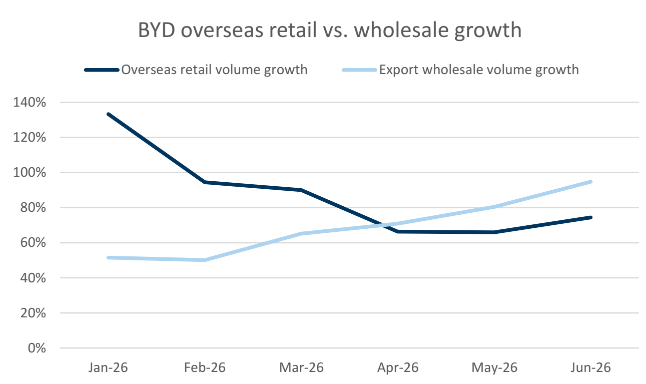
- **Overseas sell-through tells the real story:** China automakers disclose three sets of numbers, management export target growth, export wholesale growth, overseas retail sales growth. Tina believes the retail number is the most important in understanding the success and growth of companies, and a leading indicator of volume momentum ahead. Based on this interpretation, she argues BYD has shown one of the highest visibility to overseas expansion, with their retail growth exceeding export growth.

- **Domestic recovery set in motion:** Domestically, Tina believes BYD's retail sales recovery has been set in motion, as the company launches new models with **technology innovation** (e.g. 2nd generation blade battery + flash charging ecosystem) to enhance its competitive strengths in China (see our report), along with the **most affordable urban NOA model** (Rmb78.8k) and 1-year comprehensive safety liability guarantee for its urban NOA (see our report). She believes BYD is now building a comprehensive flash-charging ecosystem from battery, charging, storage to models, to effectively strengthen its competitive moat, which will be difficult for peers to catch up in the short term due to lack of battery and energy storage technologies.

Catalysts: 1) Breakthrough in overseas markets: Continued expansion into markets outside China, not only in the mass segment but also premium segment, supporting continued strong growth in the monthly export volume. New factories starting production and ramping up capacity to offset tariff risks in overseas markets. Potentially lowered entry barrier in selective markets such as Canada. **2) Domestic market demand recovery**: Ongoing ramp-up of its second generation blade battery production and construction of flash charging infrastructure to support more new model launches, driving stronger order and sales momentum, pushing NEV penetration higher.

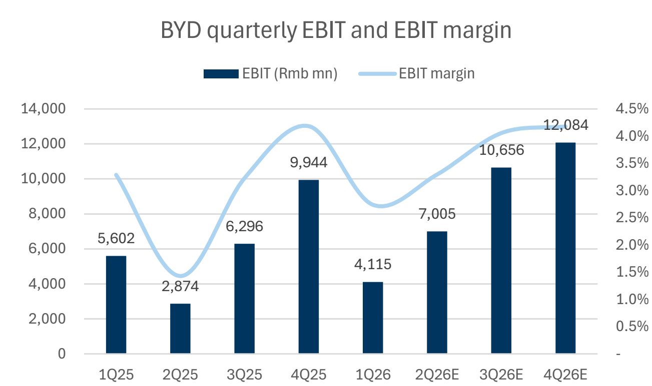
Valuation & TP: 12m DCF-based (WACC 10.8%, TGR 2.0%) TPs of Rmb137/HK$134 on the A/H shares (A-share TP based on applying a 10% discount to the H-share).

Exhibit 16: Underpinned by strong retail momentum, BYD's accelerating its export pace to catch up and fufill the end-market demand



Source: MarkLines, Company data

Exhibit 17: Tina expects 2Q26 EBIT to show both yoy and qoq improvement



Source: Company data, Goldman Sachs Global Investment Research

Relevant Research:

China Mobility Tech: Going global: stronger growth & lower pricing risk, sell-through tells the real story; Buy BYD/Leapmotor/XPeng

BYD Co. (002594.SZ/1211.HK): Expect sequential profit improvement from domestic recovery & overseas upside; Buy

BYD Co. (002594.SZ/1211.HK): Flash-charging ecosystem strengthens competitive moat; Buy

Buy CL

BYD Co. (002594.SZ)

Tina Hou
tina.hou@goldmansachs.cn
+86 21 2401-8694
Shanghai

Price: Rmb95.77
12m Price Target: Rmb137.00
Upside: 43.1%
Price as of Jul 31, 2026

Key Data		
Market cap	Rmb873.2bn	$129.2bn
Enterprise value	Rmb823.5bn	$121.9bn
3m ADTV	Rmb4.1bn	$606.7mn
China		
China Mobility Tech		
M&A Rank	3	
Leases incl. in net debt & EV?	Yes	

GS Forecast	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue (Rmb mn)	602,315.4	777,102.5	803,965.0	914,606.3	1,026,170.7	1,132,220.7	1,280,224.6	1,399,125.2
EBITDA (Rmb mn)	75,321.5	104,641.8	102,587.8	123,963.4	141,797.9	175,281.6	204,701.5	238,395.5
EPS (Rmb)	3.45	4.61	3.58	4.37	5.37	7.41	9.11	11.15
P/E (X)	24.1	17.4	30.5	21.9	17.8	12.9	10.5	8.6
P/B (X)	5.2	3.8	4.0	3.1	2.7	2.2	1.9	1.6
Dividend yield (%)	1.2	1.7	0.3	0.5	0.6	0.8	1.0	1.2
N debt/EBITDA (ex lease,X)	(1.1)	(1.1)	(0.2)	(0.4)	(0.7)	(1.0)	(1.4)	(1.8)
CROCI (%)	57.2	54.5	32.1	26.6	26.9	28.2	28.6	29.1
FCF yield (%)	6.6	5.2	(9.8)	3.8	6.4	9.5	13.7	16.8

Ratios & Valuations	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
P/E (X)	24.1	17.4	30.5	21.9	17.8	12.9	10.5	8.6
P/B (X)	5.2	3.8	4.0	3.1	2.7	2.2	1.9	1.6
FCF yield (%)	6.6	5.2	(9.8)	3.8	6.4	9.5	13.7	16.8
EV/EBITDAR (X)	8.5	5.6	9.5	6.6	5.4	4.0	2.8	1.9
EV/EBITDA (excl. leases) (X)	8.5	5.6	9.5	6.6	5.4	4.0	2.8	1.9
CROCI (%)	57.2	54.5	32.1	26.6	26.9	28.2	28.6	29.1
ROE (%)	24.0	24.8	15.1	15.1	16.0	18.8	19.4	19.8
Net debt/equity (%)	(53.6)	(56.7)	(7.5)	(16.7)	(29.7)	(44.2)	(60.2)	(74.0)
Net debt/equity (excl. leases) (%)	(53.6)	(56.7)	(7.5)	(16.7)	(29.7)	(44.2)	(60.2)	(74.0)
Interest cover (X)	18.1	19.3	9.7	7.6	8.0	11.8	14.7	18.2
Days inventory outst, sales	50.5	47.8	57.8	58.2	57.4	56.5	54.1	53.1
Receivable days	35.4	30.1	23.1	16.2	16.1	16.0	15.6	15.6
Days payable outstanding	127.4	129.0	125.1	108.8	108.7	110.4	109.1	111.1
DuPont ROE (%)	20.0	20.3	12.6	13.4	14.3	16.6	17.1	17.5
Turnover (X)	0.9	1.0	0.9	0.9	1.0	1.0	1.0	1.0
Leverage (X)	4.5	3.9	3.4	3.3	3.1	2.8	2.6	2.4
Gross cash invested (ex cash) (Rmb)	165,032.3	244,765.4	427,409.6	511,057.4	594,312.8	688,833.6	784,778.1	887,588.0
Average capital employed (Rmb)	69,173.6	77,932.8	162,551.8	242,928.4	243,879.9	234,103.4	210,234.2	172,222.9
BVPS (Rmb)	15.89	21.23	27.01	31.03	35.95	42.83	51.20	61.44

Growth & Margins (%)	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Total revenue growth	42.0	29.0	3.5	13.8	12.2	10.3	13.1	9.3
EBITDA growth	83.5	38.9	(2.0)	20.8	14.4	23.6	16.8	16.5
EPS growth	80.8	33.9	(22.4)	22.1	22.8	38.2	22.9	22.3
DPS growth	171.1	34.1	(74.1)	22.2	22.8	38.2	22.9	22.3
EBIT margin	5.5	5.2	3.1	3.7	3.8	5.1	5.6	6.4
EBITDA margin	12.5	13.5	12.8	13.6	13.8	15.5	16.0	17.0
Net income margin	5.0	5.2	4.1	4.4	4.8	6.0	6.5	7.3

Source: Company data, Goldman Sachs Research estimates.

Hong Kong Exchanges: Attractive risk/reward as ADT primed for further growth

*Covered by **Thomas Wang** (thomas.wang@gs.com, +852 2978 1697)*

0388.HK	12m Price Target: HK$540	Price: HK$408.6	Upside: 32.2%

Buy CL	GS Forecast				
		12/25	12/26E	12/27E	12/28E
Market cap: HK$516.6bn / $65.9bn	Revenue (HK$ mn)	29,161	31,947	32,860	34,905
Enterprise value: HK$505.6bn / $64.5bn	EBITDA (HK$ mn)	22,796	25,310	25,832	27,463
3m ADTV :HK$1.8bn/ $230.1mn	EPS (HK$)	14.0	15.6	15.9	16.9
Hong Kong	P/E (X)	27.8	26.1	25.7	24.2
Greater China Financials	P/B (X)	8.5	8.5	8.1	8.1
	Dividend yield (%)	3.2	3.4	3.5	3.7
M&A Rank: 3					
Leases incl. in net debt & EV?: No					
		3/26	6/26E	9/26E	12/26E
	EPS (HK$)	4.10	3.82	4.14	3.56

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 31 Jul 2026 close.

Core Thesis: HKEX had underperformed in 2026, despite record market ADT. While investors question the sustainability of elevated trading and listing activities, Thomas Wang believes ADT is likely to continue to increase, driven by 1) rising contribution from new IPOs, on the back of a record listing pipeline and strong post-IPO performances; and 2) diminishing drag from large internet companies, which are reaching a profit growth inflection point in the second half of 2026; and 3) further market structure enhancement initiatives.

In addition, Thomas believes investors are under-appreciating 1) HKEX's role as a gateway for international investors to gain exposure in mainland China, with northbound trading fee contribution rising despite strong ADT growth in HK; 2) rising derivative segment contribution, which has contributed to stronger-than-expected investment income results in recent quarters; and 3) structural opportunities in FIC segment, as RMB internationalization is likely to proceed through gradual onshore opening and deeper offshore RMB markets.

Thomas forecasts 11% FY26E profit growth, 3% ahead of consensus, and sees attractive valuation with the stock trading at 25X FY26 P/E, vs. 10-year historical average of 34X. Thomas believes this has priced in a decline in ADT amid weak HSI index performance, and sees limited room for multiple compression on the downside, while continued ADT strength could drive both consensus upgrade and multiple expansion.

Key debates & GS views:

- Investors question whether strong ADT is sustainable, given ADT has remained elevated since 3Q24, lasting more than 20 months vs. slightly over 12 months in previous episodes. Thomas believes a weak HSI index in 1H26 masked the strength of investor interests, with stable southbound turnover, and higher trading velocity for non-southbound investors. He believes this strong interest is a reflection of the strong listing market, with the newly listed companies in 2026 generating record returns in the first 1-month/3-month post listing. ADT contribution from the newly listed companies has increased steadily, reaching 11% in 2Q26. Given a record listing pipeline and continued conversion (with 86 companies listed in 1H26), he expects continued tailwind to ADT growth in 2H26.

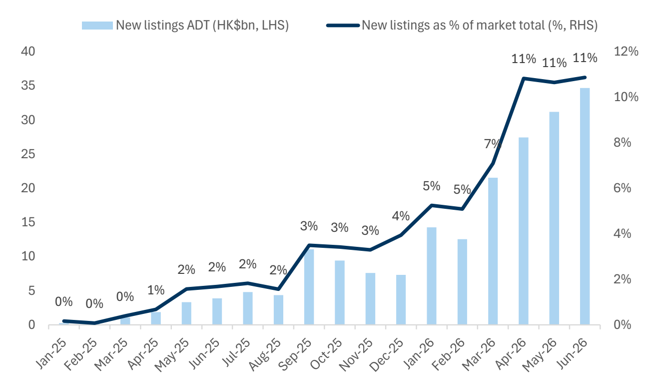
- Structurally, Thomas believes an expanding FIC product offering would drive the next leg of growth for HKEX, as it's well positioned to plan an important part in RMB internationalization. Using offshore CGB futures as an example, assuming increase in foreign investor participation (from 2% to 10%) and an increase in derivatives market penetration (from 1% to 10%) over time, he estimates this could translate to 12% revenue upside, based on FY25 data. The pace of development is likely to be gradual initially, but he draws comparisons to the development of the stock connect program and the offshore FX derivative market, where initial launch is supported by continued policy supports.

Catalysts:

- **1) Potential ADT boost from the internet sector:** Profit for the largest internet companies is expected to inflect to yoy growth in 3Q26, per GS and consensus expectations. As a result, Thomas sees a lower drag on ADT in 2H26 from the internet sector, or even becoming a boost to ADT growth. **2) Market structure enhancements:** Including listing framework competitiveness enhancements (Jul), roll out of additional weekly and monthly single-stock options (Aug), phase 2 of minimum spreads reduction (Aug), and standardization of board lot values (Nov).

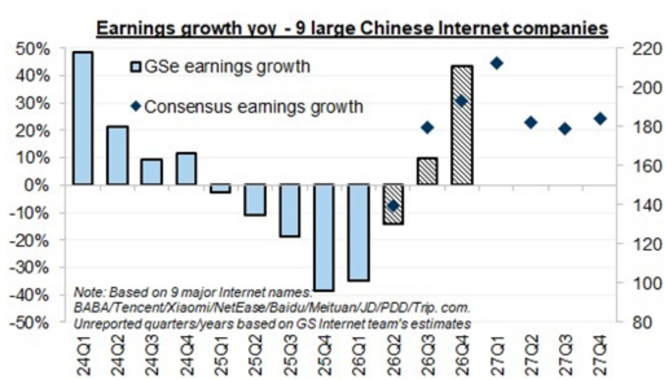
Valuation & TP: 12-month 3-stage DDM-derived target price is HK$540, based on 34X FY27E P/E.

Exhibit 18: Contribution from newly listed cos (since 2025) contributed to 11% of overall market ADT in Jun, 2026
ADT contribution from new listings since 2025



Source: Datastream, Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 19: Profit growth momentum for offshore tech could improve in 2H26 per GS and consensus expectations



Source: MSCI, FactSet, Goldman Sachs Global Investment Research

Relevant Research:

Hong Kong Exchanges (0388.HK): Multiple tailwinds in 2026E despite weak Nov ADT; Buy

Hong Kong Exchanges (0388.HK): Offshore CGB futures offers revenue upside and diversification benefits to a strong equity franchise; Buy

Hong Kong Exchanges (0388.HK): New listings and profit growth inflection to drive sustainable ADT growth; Buy

Buy CL

Hong Kong Exchanges (0388.HK)

Thomas Wang
thomas.wang@gs.com
+852 2978-1697
Hong Kong

Price: **HK$408.60**
12m Price Target: **HK$540.00**
Upside: **32.2%**
Price as of Jul 31, 2026

Key Data		
Market cap	HK$516.6bn	$65.9bn
3m ADTV	HK$1.8bn	$230.1mn
Hong Kong		
Greater China Financials		
M&A Rank	3	

GS Forecast	2023	2024	2025	2026E	2027E	2028E	2029E
Revenue (HK$ mn)	20,516.0	22,374.0	29,161.0	31,946.6	32,859.8	34,904.7	36,996.0
EPS (HK$)	9.37	10.32	14.05	15.63	15.90	16.89	17.88
P/E (X)	33.0	25.4	27.8	26.1	25.7	24.2	22.8
P/B (X)	7.6	6.2	8.5	8.5	8.1	8.1	7.5
ROE (%)	23.5	24.8	31.7	33.3	32.4	33.5	34.0
DPS (HK$)	8.41	9.26	12.52	14.07	14.31	15.20	16.09
Dividend yield (%)	2.7	3.5	3.2	3.4	3.5	3.7	3.9

Ratios & Valuations	2023	2024	2025	2026E	2027E	2028E	2029E
P/E (X)	33.0	25.4	27.8	26.1	25.7	24.2	22.8
P/B (X)	6.6	6.9	8.9	8.5	8.1	8.1	7.5
Dividend yield (%)	2.7	3.5	3.2	3.4	3.5	3.7	3.9
ROE (%)	23.5	24.8	31.7	33.3	32.4	33.5	34.0
Clearing house funds (HK$)	--	--	--	--	--	--	--
Margin funds (HK$ mn)	187,899.0	187,448.0	234,508.0	285,144.9	314,473.2	328,167.2	288,342.8
Total client assets (HK$ mn)	209,854.0	214,572.0	268,499.0	320,382.9	349,711.2	363,405.2	323,580.8

Growth & Margins (%)	2023	2024	2025	2026E	2027E	2028E	2029E
Total revenue growth	11.2	9.1	30.3	9.6	2.9	6.2	6.0
EPS growth	17.7	10.1	36.1	11.3	1.7	6.2	5.9
EBITDA margin	72.3	72.8	78.2	79.2	78.6	78.7	78.7
Op. profit margin	65.2	66.5	72.8	73.9	73.1	73.0	72.9
Pre-tax margin	65.0	66.4	72.6	73.8	72.9	72.9	72.8
Net margin	57.8	58.3	60.9	61.9	61.2	61.2	61.1

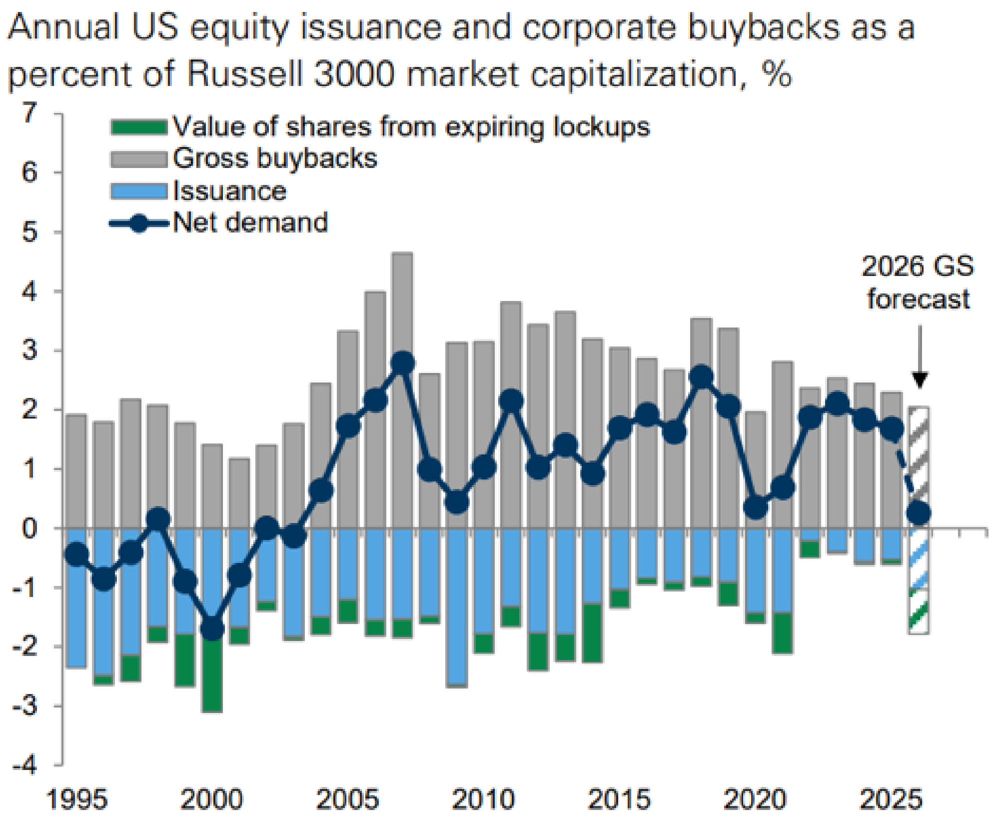
Source: Company data, Goldman Sachs Research estimates.

Spotlight - IPO Surge, Global Markets, Asia Tech 2H Strategy, China AI Models, China Batteries

Top of Mind - IPO Surge: A Red Flag for Markets? (link). *Allison Nathan*

The US IPO market has reopened in a big way in 2026, with issuance already at a record high. But this activity has raised two key concerns for the equity market: whether it's flashing a late-cycle warning sign and whether the market can comfortably digest so much new supply. So, how worried should investors be? The IPO Initiative's Jay Ritter, Acadian's Owen Lamont, and GS' Ben Snider agree that we're not in an "IPO wave" (yet) but differ on how much of a red flag the surge in issuance is signaling. Snider argues that the late-cycle warning signs of past IPO booms aren't evident today and digestion concerns are overdone. Ritter notes that while high new issuance volume has historically predicted lower future returns, the signal has been weak. But Lamont is more cautious, calling an IPO wave one of the "four horsemen" of a bubble (especially alongside a surge in debt issuance), but stresses that IPO waves don't necessarily signal the market top. Key to watch: first day IPO returns and the all-important AI outlook.

Exhibit 20: IPO Surge – Our strategists expect buybacks by US companies are likely to exceed corporate equity supply this year even with the sharp increase in issuance



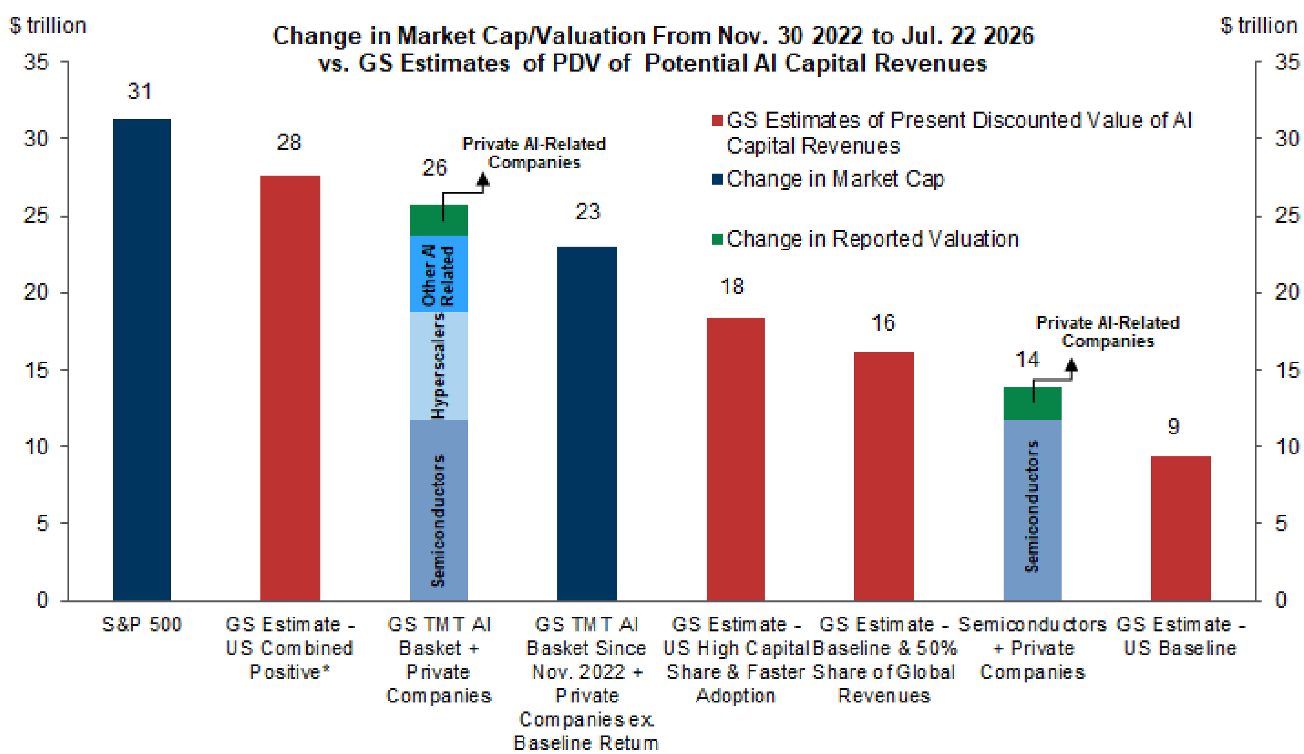
Source: Goldman Sachs GIR.

Global Markets – Distinguishing AI Risks & AI-Related Debt Issuance (link, link).
Dominic Wilson, Amanda Lynam

Our strategists distinguish between aggregate AI shocks, which reduce the overall expected value of AI and affect broad equity markets, yields, and volatility, and distributional shocks, which reallocate value among companies with more limited index-level effects. They believe macro assets can provide useful hedges against aggregate AI risks for diversified investors. Investors with concentrated AI positions, however, may face greater difficulty hedging company-specific competitive and capital-spending shifts.

Regarding AI-related debt issuance, our strategists estimate that it has reached $489 billion year-to-date, exceeding their $322 billion full-year 2025 estimate. Issuance has broadened from hyperscalers to data centers and the wider technology ecosystem, representing 23% of US-dollar investment-grade and 20% of high-yield gross issuance. They expect elevated supply to contribute to modest credit-spread widening and foresee financing needs being met across public credit, private infrastructure, joint ventures, project finance, and regional bond markets.

Exhibit 21: Global Markets – Our strategists' dominant focus has been on comparing value built into US companies and the potential capital revenues from AI



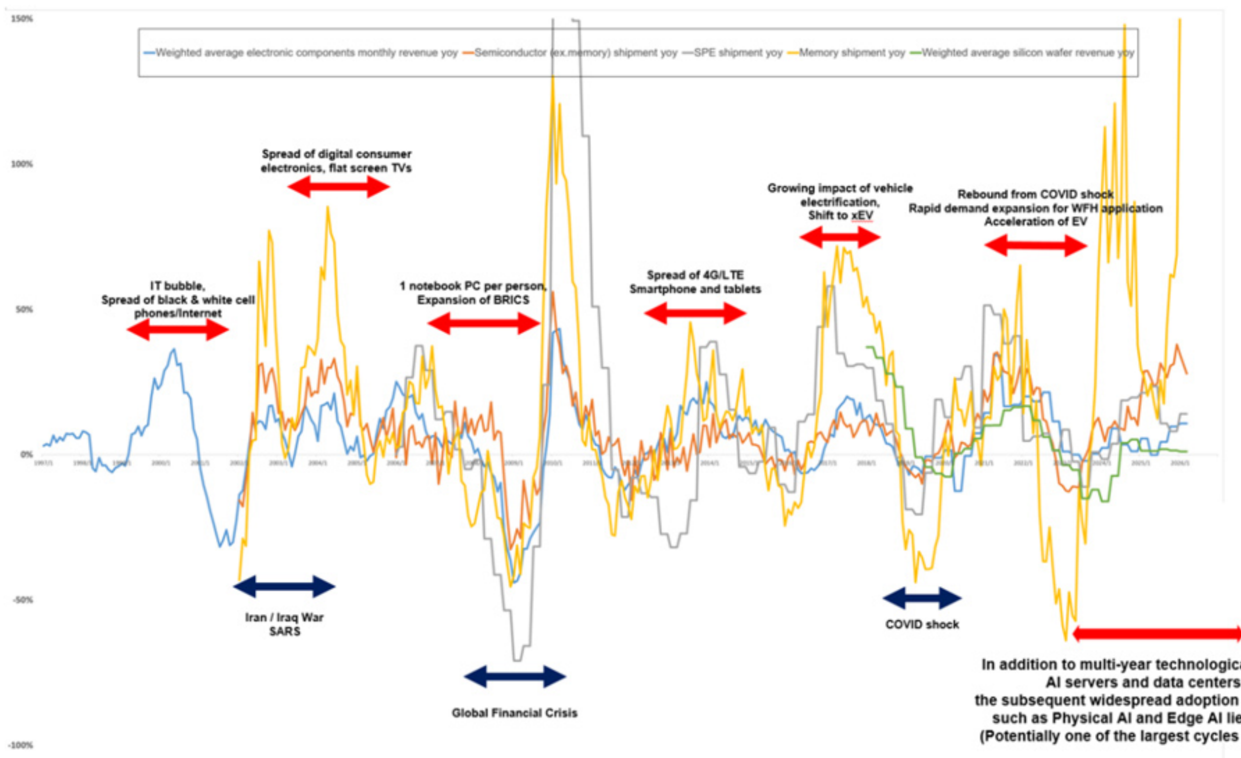
"Semiconductors", "hyperscalers", and "other AI-related" are constituents of the GS TMT AI basket (developed by GS Global Banking & Markets)
***US Combined Positive" assumes high capital share, faster adoption, and higher productivity gains from AI*

Source: Bloomberg, FactSet, Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

APAC Technology - Investment Strategy for 2H26 (link). *Daiki Takayama*

Our analysts updated their Asia Technology strategy for the second half of 2026, emphasizing stock selection for both risk-on and risk-off market conditions. They expect supply-demand tightness to persist in memory and expand across selected electronic components, materials, silicon wafers, and analog and power semiconductors outside China. They believe the current AI-driven cycle remains large and long. Although related stocks have seen profit-taking entering July, they view this as a healthy adjustment following the rapid share price surge. Overall, they highlight 37 recommended stocks in the region.

Exhibit 22: Asia Technology - In the AI cycle, semiconductors (memory), semiconductors (logic), and SPE lead, followed by electronic components, with silicon wafers recovering/expanding with a lag. Our analysts expect the AI cycle to be large and long.



Source: Datastream, World Semiconductor Trade Statistics, SEMI, SEAJ, Company data, Goldman Sachs Global Investment Research

Impacted stocks on the APAC Conviction List: Samsung Electronics, Murata, NYPCB, Lasertec, Shengyi Tech, Hon Hai

China AI Models - LLM Primer: Critical Point of Intelligence for Global Proliferation (link). *Ronald Keung*

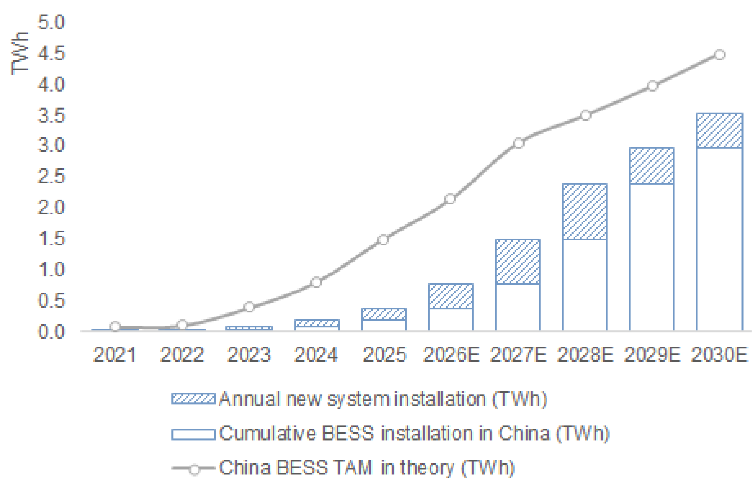
Our analysts believe that China's open-source and open-weight AI models are approaching the performance of global proprietary models, supporting adoption among domestic enterprises and global small and medium-sized enterprises. Their competitive framework identifies Knowledge Atlas and DeepSeek as strongly positioned in foundation models and ByteDance in multimodal capabilities. They see international expansion as a meaningful upside driver, while access to high-end computing and potential Western restrictions remain key risks.

China Batteries - ESS Drives the Cycle, Quality Wins - Sector Initiation (link). *Nick Zheng*

Our analysts believe China's battery sector is entering an energy-storage-system-led phase, with electric-vehicle demand remaining foundational but energy storage increasingly determining marginal supply-demand dynamics. Their investment framework focuses on the durability of the energy-storage upcycle, the potential for a supply-demand reset, and companies positioned to sustain high-quality growth. They initiated with Buy ratings on CATL-A, CATL-H, and Zenergy; Sell ratings on Gotion and Farasis; and Neutral ratings on EVE, CALB, and Rept.

Exhibit 23: China Batteries – Our analysts expect total cumulative installation of BESS to reach 3.4TWh by 2030E in China, with annual installation peaking in 2028E

Cumulative BESS installation in China and annual addition, vs. China BESS TAM in theory



Source: Wind, CNESA, Goldman Sachs Global Investment Research

Multimedia

China Macro to Micro: 2H Policy & Consumption Outlook

India Macro & Strategy: 2H Views – Room To Rebound

Asia ABF: Stronger Pricing Outlook on Widening Supply/Demand Gap

China AI Models: Critical point of intelligence for global proliferation

China Batteries Sector Initiation: Buy CATL & Zenergy

US Semis: 2Q Earnings Preview & Tactical Ideas

TSMC & MediaTek: Stronger Growth Trajectory

Asia Pacific MLCCs: 2H outlook & AI Tailwinds

Global Markets: From Macro to Micro Volatility

Korea Strategy & Trading: 2H Opportunity Set

US Internet: 2H Outlook & Investment Themes

Conviction List - What Has Changed

Exhibit 24: APAC Conviction List - Directors' Cut stock performance
August 2026, life-to-date and year-to-date total return (in local currency, only calculate period when stock is on the list)

Ticker	Company Name	Jul-26	LTD Return	LTD vs. MXAPEW	LTD vs. MXAP
010950.KS	S-Oil Corp.	19.8%	22.1%	24.0%	25.3%
YUMC	Yum China Holdings	17.9%	-1.2%	-7.6%	-15.6%
0012.HK	Henderson Land	14.5%	-9.7%	-9.0%	-13.4%
1364.HK	Guming Holdings Ltd.	11.8%	10.1%	2.3%	-9.2%
3288.HK	Foshan Haitian Flavouring & Food	10.0%	-9.5%	-15.9%	-23.9%
JARD.SI	Jardine Matheson	8.0%	19.8%	1.3%	-14.9%
8411.T	Mizuho FG	5.5%	115.0%	79.5%	60.7%
NTES	NetEase Inc.	4.7%	4.7%	5.0%	4.7%
2359.HK	WuXi AppTec Co.	4.6%	31.4%	25.0%	17.0%
RMS.AX	Ramelius Resources	4.5%	-21.4%	-27.8%	-35.8%
2317.TW	Hon Hai	2.8%	2.6%	-5.2%	-16.7%
RMD.AX	ResMed Inc.	1.6%	1.6%	1.9%	1.6%
MRTI.BO	Maruti Suzuki India	0.8%	-11.6%	-21.2%	-34.5%
TACN.BO	Tata Consumer Products Ltd.	0.7%	-2.9%	-1.6%	-9.1%
105560.KS	KB Financial Group	-0.4%	-0.4%	-0.1%	-0.4%
	MSCI Asia Pacific Equal Weight Index	-0.4%	45.0%		
	MSCI Asia Pacific Index	-1.3%	79.0%		
012330.KS	Hyundai Mobis	-2.9%	-2.9%	-2.6%	-2.9%
300124.SZ	Shenzhen Inovance Technology Co.	-3.4%	-9.3%	-8.5%	-12.9%
ALQ.AX	ALS Ltd.	-5.4%	1.8%	2.5%	-1.8%
8046.TW	NYPCB	-22.4%	358.6%	346.5%	328.5%
6920.T	Lasertec	-23.7%	7.7%	1.3%	-6.7%
6981.T	Murata Mfg.	-34.9%	124.8%	119.5%	109.6%

% of Stocks that outperformed*		
vs. MXAP Equal Weighted Index	61%	48%
vs. MXAP Index	61%	39%

Removed from the list this month

Ticker	Company Name	Date Added	Date Removed	Days on the List	LTD Return	LTD vs. MXAPEW
300476.SZ	Victory Giant	3/2/2026	8/2/2026	153	-36.8%	-35.5%
6506.T	Yaskawa Electric	5/3/2026	8/2/2026	91	-18.5%	-17.8%

*LTD % outperformance includes stocks that have been removed from the list (list of prior removals in Appendix II)

Source: Bloomberg, Goldman Sachs Global Investment Research

We add **Samsung Electronics, Keyence, Shengyi Tech, BYD, Hong Kong Exchanges** to the APAC Conviction List whilst removing **Victory Giant, Yaskawa Electric**.

As discussed in previous updates, there are many reasons a stock could be removed from the list. They can include (but are not limited to), analysts no longer having conviction in their idea (e.g. a downgrade), price realization, the passage of catalysts or the subcommittee believing there are better opportunities elsewhere. In short, names will be removed if the committee determines a name is no longer a top investment idea across the APAC coverage.

Importantly, inclusion on this list is not a stock rating and addition to or removal from this list does not necessarily represent a change in the analyst's investment rating for such stock.

Exhibit 25: APAC Conviction List changes since July 2, 2026
Changes to FY1/FY2 EPS (>1.5%), target prices and to the List

Ticker	Company Name	FY1 EPS %	FY2 EPS %	PT %
8046.TW	NYPCB	9.4%	22.3%	107.2%
8411.T	Mizuho FG	8.7%	7.6%	14.3%
6981.T	Murata Mfg.	6.4%	5.6%	2.4%
MRTI.BO	Maruti Suzuki India	3.2%	2.6%	7.0%
YUMC	Yum China Holdings	2.4%	2.4%	1.7%
2317.TW	Hon Hai	0.3%	-0.4%	0.0%
3288.HK	Foshan Haitian Flavouring & Food	0.2%	0.0%	-3.6%
6920.T	Lasertec	0.0%	1.1%	4.5%
105560.KS	KB Financial Group	-1.0%	-3.3%	0.0%
TACN.BO	Tata Consumer Products Ltd.	-1.5%	-1.5%	0.0%
RMS.AX	Ramelius Resources	-4.4%	-19.0%	1.0%
1364.HK	Guming Holdings Ltd.	-5.5%	-10.6%	-13.9%
012330.KS	Hyundai Mobis	-5.9%	0.0%	0.0%
JARD.SI	Jardine Matheson	-6.7%	-5.2%	-5.8%

CL Additions

Ticker	Company Name	Date Added
600183.SS	Shengyi Tech	8/2/2026
6861.T	Keyence	8/2/2026
0388.HK	Hong Kong Exchanges	8/2/2026
1211.HK	BYD Co.	8/2/2026
005930.KS	Samsung Electronics	8/2/2026

CL Removal

Ticker	Company Name	Date Added	Date Removed
300476.SZ	Victory Giant	3/2/2026	8/2/2026
6506.T	Yaskawa Electric	5/3/2026	8/2/2026

Source: Goldman Sachs Global Investment Research, Bloomberg

Appendix I – Valuation Table

Exhibit 26: APAC Conviction List – Valuation Table

		GROWTH					VALUATION				PROFITABILITY			REVISIONS (1M)			
Ticker	Company Name	FY1 Year	Sales Growth FY1	EBITDA Growth FY1	EPS Growth FY1	FCF Growth FY1	PE FY1	P/B FY1	EV/ EBITDA FY1	FCF yield FY1	EBITDA Margin FY1	EBITDA Margin FY2	ROE CY26	GS TP	GS Sales FY1	GS EPS FY1	Cons EPS FY1
Consumer																	
1364.HK	Guming Holdings Ltd.	26	18%	8%	14%	31%	14.5x	6.1x	10.5x	6%	24.8%	25.3%	48%	-13.9%	-8.2%	-5.5%	-0.9%
3288.HK	Foshan Haitian Flavouring & Food	26	9%	10%	11%	13%	21.7x	4.0x	15.4x	4%	30.2%	31.0%	18%	-3.6%	-0.7%	-	0.0%
TACN.BO	Tata Consumer Products Ltd.	27	13%	17%	31%	-33%	53.7x	4.8x	32.8x	1%	14.2%	15.0%	8%	-	-	-1.5%	-1.4%
YUMC	Yum China Holdings	26	10%	11%	17%	23%	15.8x	3.1x	7.4x	6%	14.9%	15.0%	17%	0.9%	3.3%	2.8%	1.0%
Financials																	
0012.HK	Henderson Land	26	31%	61%	40%	-34%	17.6x	0.4x	22.4x	5%	24.1%	30.4%	2%	-	-	-	-2.0%
0388.HK	Hong Kong Exchanges	26	10%	11%	11%		26.0x	8.5x			79.2%	78.6%	33%	-	0.9%	1.0%	1.3%
8411.T	Mizuho FG	27	17%		19%		13.1x	1.6x					12%	14.3%	3.7%	8.7%	3.6%
105560.KS	KB Financial Group	26	8%		26%		8.4x	0.9x					11%	-	1.2%	-1.0%	3.3%
Healthcare																	
RMD.AX	ResMed Inc.	26	11%	17%	16%	-16%	19.1x	4.7x	13.7x	5%	38.8%	39.6%	26%	-	-	-	-0.1%
2359.HK	WuXi AppTec Co.	26	20%	24%	1%	18%	20.4x	4.1x	14.6x	3%	45.2%	45.2%	22%	-	-	-	1.3%
Industrials																	
ALQ.AX	ALS Ltd.	27	12%	18%	18%	99%	23.0x	5.6x	12.2x	2%	26.3%	26.5%	25%	-	-	-	0.9%
JARD.SI	Jardine Matheson	26	2%	4%	61%	7%	11.1x	0.7x	3.7x	8%	17.7%	18.1%	6%	-	-	-	-2.1%
300124.SZ	Shenzhen Inovance Technology Co.	26	22%	27%	23%	-84%	27.7x	4.3x	23.8x	0%	12.9%	13.3%	16%	-	-	-	-2.8%
6861.T	Keyence	27	29%	34%	30%	23%	33.1x	5.2x	21.2x	3%	54.4%	53.5%	15%	4.5%	6.4%	9.4%	7.7%
Internet & IT Services																	
NTES	NetEase Inc.	26	9%	21%	13%	-2%	14.2x	3.2x	7.9x	9%	41.0%	41.4%	23%	-	-	-	-0.8%
Mobility																	
1211.HK	BYD Co.	26	14%	21%	22%	134%	18.7x	2.6x	5.6x	4%	13.6%	13.8%	14%	-	-	-	-1.1%
MRTI.BO	Maruti Suzuki India	27	26%	11%	0%	25%	29.7x	3.9x	17.8x	2%	10.3%	11.6%	14%	7.0%	-	-	-1.8%
012330.KS	Hyundai Mobis	26	6%	7%	6%	-7%	10.3x	0.8x	7.6x	7%	7.4%	7.7%	8%	-	-	-5.9%	-1.6%
Natural Resources																	
RMS.AX	Ramelius Resources	26	-15%	-21%	-69%	-64%	24.1x	1.5x	8.1x	4%	62.6%	55.7%	7%	-10.2%	-3.7%	-7.1%	-6.9%
010950.KS	S-Oil Corp.	26	22%	315%	10949%	855%	6.2x	1.4x	4.8x	6%	10.3%	9.0%	25%	-	-	-	11.7%
Technology																	
2317.TW	Hon Hai	26	37%	34%	42%	804%	12.0x	1.7x	5.1x	14%	4.2%	3.8%	13%	-	0.4%	0.3%	0.1%
6920.T	Lasertec	26	-9%	-12%	-6%	36%	38.0x	12.2x	25.6x	3%	48.9%	50.4%	35%	4.5%	-	-	0.9%
6981.T	Murata Mfg.	27	14%	52%	61%	121%	31.0x	4.2x	15.8x	3%	33.4%	37.1%	12%	2.4%	5.1%	6.4%	1.7%
8046.TW	NYPCB	26	61%	179%	644%	2199%	37.4x	9.9x	21.0x	3%	38.2%	47.4%	29%	107.2%	-13.1%	9.4%	7.5%
005930.KS	Samsung Electronics	26	116%	378%	588%	224%	4.5x	1.8x	2.6x	9%	60.0%	67.5%	50%	2.1%	0.3%	1.9%	4.4%
600183.SS	Shengyi Tech	26	59%	80%	117%	106%	35.3x	11.7x	25.8x	2%	20.8%	22.2%	34%	13.5%	11.5%	16.9%	4.9%

Source: Bloomberg, Goldman Sachs Global Investment Research

Appendix II - Conviction List Explained

On December 4th 2023, we introduced a new investment list highlighting a selection of fundamental Buy-rated Asia-Pacific stocks across the Goldman Sachs Global Investment Research department. This new **"APAC Conviction List - Directors' Cut"** is designed to provide investors with a curated and active list of 20-30 stocks of what we believe to be differentiated fundamental Buy ideas across our Asia-Pacific stock coverage. We intend to refresh and publish this list monthly in an easily digestible format that focuses on 1) the analyst's core investment thesis, 2) key debates and where we are different, 3) upcoming catalysts, and 4) financials/valuation.

A subcommittee designated by the Asia-Pacific Investment Review Committee will select stocks for the "**APAC Conviction List - Directors' Cut"** from the Buy recommendations of Asia-Pacific stocks. The subcommittee will collaborate with each sector analyst to identify top ideas that offer a combination of conviction, a differentiated view and high risk-adjusted returns. The subcommittee will then choose what they view as the top 20-30 ideas across the department for the list.

We intend to refresh and publish the list monthly. Any new names added to the APAC Conviction List - Directors' Cut will include a concise description detailing the key drivers of the analyst's Buy thesis, with a focus on where these views are different and relevant market debates, as well as links to their recent reports. All additions to the list will be captured in this monthly note. Removals (discussed below) may occur intra-month should a material event occur that requires an adjustment to the list.

Reasons for removal can include (but are not limited to) analysts no longer having conviction in their idea (e.g. a downgrade), price realisation, the passage of catalysts or the subcommittee believing there are better opportunities elsewhere. In short, names will be removed if this committee determines a name is no longer a top investment idea across our coverage.

Additional information. This list should not be seen as a portfolio, as we will not attempt to weight the included stocks or ensure diversification across our stock coverage. Inclusion on this list is not a stock rating and addition to, or removal from, this list does not necessarily represent a change in the analyst's investment rating for such stock.

Past Editions and Multimedia

APAC Conviction List - Directors' Cut: July update: Adding KB Financial, Hyundai Mobis, NetEase, ResMed; removing TSMC, Alibaba, Mao Geping, APR, Fisher & Paykel

APAC Conviction List - Directors' Cut: June update - Adding S-Oil

APAC Conviction List - Directors' Cut: May update - Adding Yaskawa, Inovance, Henderson Land, Futu, ALS; removing Eastroc, VNET, Havells, PTC Industries, MHI

APAC Conviction List - Directors' Cut: Key Theses in Charts (Videos)

APAC Conviction List - Directors' Cut Launch

Visit the APAC Conviction List - Directors' Cut portal page

Exhibit 27: APAC Conviction List Removals' Stock Performance
LTD total return (in local ccy)

Ticker	Company Name	Date Added	Date Removed	Days on the List	LTD Return	LTD vs. MXAPEW
CSL.AX	CSL Ltd.	12/4/2023	1/30/2024	57	12.3%	16.0%
601138.SS	Foxconn Industrial Internet	12/4/2023	2/1/2024	59	-1.5%	2.5%
6758.T	Sony Group	12/4/2023	3/3/2024	90	5.3%	2.8%
OCBC.SI	Oversea-Chinese Banking Corp.	12/4/2023	3/3/2024	90	2.9%	0.4%
PDD	PDD Holdings	12/4/2023	3/11/2024	98	-21.7%	-25.6%
0867.HK	China Medical System Holdings	12/4/2023	4/7/2024	125	-47.7%	-50.0%
4507.T	Shionogi	12/4/2023	4/7/2024	125	10.1%	7.7%
002050.SZ	Sanhua Intelligent Controls	12/4/2023	5/2/2024	150	-23.8%	-27.4%
7269.T	Suzuki Motor	12/4/2023	5/2/2024	150	24.4%	20.8%
352820.KS	HYBE Co.	1/4/2024	6/2/2024	150	-16.8%	-19.5%
8306.T	MUFG	12/4/2023	6/2/2024	181	35.1%	31.6%
2313.HK	Shenzhou International Group	12/4/2023	6/2/2024	181	-0.8%	-4.3%
1024.HK	Kuaishou Technology	12/4/2023	7/1/2024	210	-16.0%	-18.5%
6723.T	Renesas Electronics	12/4/2023	8/4/2024	244	-13.5%	-15.8%
1299.HK	AIA Group	12/4/2023	9/3/2024	274	-15.7%	-19.9%
WOW.AX	Woolworths Group	12/4/2023	9/3/2024	274	6.1%	1.8%
HTHT	H World Group	12/4/2023	9/3/2024	274	-14.1%	-18.3%
600019.SS	Baoshan Iron & Steel	12/4/2023	9/3/2024	274	-2.9%	-7.2%
6273.T	SMC	12/4/2023	9/3/2024	274	-10.2%	-14.5%
105560.KS	KB Financial Group	2/1/2024	9/3/2024	215	48.5%	39.9%
002371.SZ	NAURA	2/1/2024	9/3/2024	215	32.5%	24.0%
005380.KS	Hyundai Motor	3/3/2024	9/3/2024	184	-5.6%	-7.2%
688169.SS	Beijing Roborock Technology	3/3/2024	9/3/2024	184	-1.4%	-3.0%
0291.HK	China Resources Beer	4/7/2024	9/3/2024	149	-26.9%	-28.8%
LYC.AX	Lynas Rare Earths Ltd.	12/4/2023	10/2/2024	303	21.1%	2.6%
QAN.AX	Qantas Airways	6/2/2024	10/2/2024	122	14.4%	1.1%
207940.KS	Samsung Biologics Co.	5/2/2024	10/2/2024	153	26.1%	11.7%
NTPC.BO	NTPC Ltd.	4/7/2024	10/2/2024	178	22.0%	6.1%
603986.SS	Gigadevice	8/4/2024	10/2/2024	59	13.8%	-6.6%
GOCP.BO	Godrej Consumer Products Ltd.	12/4/2023	10/2/2024	303	34.8%	16.2%
0388.HK	Hong Kong Exchanges	6/2/2024	10/2/2024	122	41.9%	28.6%
360.AX	Life360 Inc.	10/2/2024	12/2/2024	61	32.0%	38.4%
XRO.AX	Xero Ltd.	3/3/2024	12/2/2024	274	28.8%	20.8%
TOP.BK	Thai Oil	6/2/2024	12/2/2024	183	-24.8%	-30.8%
0992.HK	Lenovo	6/2/2024	12/2/2024	183	-16.5%	-22.6%
2383.TW	Elite Material	8/4/2024	12/2/2024	120	32.8%	20.2%
2587.T	Suntory Beverage & Food Ltd.	2/1/2024	1/7/2025	341	2.1%	-9.4%
0700.HK	Tencent Holdings	7/1/2024	1/7/2025	190	2.8%	-1.5%
8316.T	SMFG	9/3/2024	1/7/2025	126	19.4%	16.8%
300274.SZ	Sungrow Power Supply Co.	9/3/2024	1/7/2025	126	-5.7%	-8.4%
000660.KS	SK Hynix Inc.	12/4/2023	2/2/2025	426	53.0%	45.2%
2330.TW	TSMC	12/4/2023	2/2/2025	426	102.0%	94.3%
6501.T	Hitachi	12/4/2023	3/2/2025	454	82.6%	74.9%
600309.SS	Wanhua Chemical Group	3/3/2024	3/2/2025	364	-7.2%	-12.2%
7267.T	Honda Motor	11/3/2024	3/2/2025	119	-8.1%	-3.4%
0857.HK	PetroChina	12/2/2024	3/2/2025	90	5.9%	8.7%
6857.T	Advantest	9/3/2024	4/1/2025	210	-4.9%	-9.5%
2308.TW	Delta Electronics	12/2/2024	4/1/2025	120	-4.5%	-2.8%
KPLM.SI	Keppel Ltd.	10/2/2024	4/1/2025	181	3.6%	11.7%
2899.HK	Zijin Mining	9/3/2024	4/1/2025	210	15.7%	11.1%
HDBK.BO	HDFC Bank	12/4/2023	5/1/2025	514	21.2%	11.4%
2018.HK	AAC	12/2/2024	5/1/2025	150	1.8%	2.8%
JD	JD.com Inc.	1/7/2025	5/1/2025	114	-3.2%	-5.9%
6981.T	Murata Mfg.	3/2/2025	5/1/2025	60	-23.9%	-25.4%
300750.SZ	CATL	9/3/2024	5/28/2025	267	40.0%	30.6%
8801.T	Mitsui Fudosan	1/7/2025	6/2/2025	146	10.5%	3.9%
ILU.AX	Iluka Resources	1/7/2025	7/2/2025	176	-26.6%	-38.6%
0914.HK	Anhui Conch Cement	2/2/2025	7/2/2025	150	5.9%	-7.1%
6752.T	Panasonic HD	3/2/2025	7/2/2025	122	-18.3%	-29.1%
NXT.AX	NEXTDC Ltd	5/1/2025	7/2/2025	62	14.7%	5.5%
MAHM.BO	Mahindra & Mahindra	11/3/2024	8/3/2025	273	10.4%	3.0%
2222.T	Kotobuki Spirits Co.	1/7/2025	8/3/2025	208	2.5%	-11.1%
WOR.AX	Worley Ltd.	1/7/2025	8/3/2025	208	-1.6%	-15.2%
AXBK.BO	Axis Bank	5/1/2025	8/21/2025	112	-8.7%	-24.4%
2454.TW	MediaTek	4/1/2025	9/1/2025	153	-5.0%	-23.6%
600406.SS	NARI Technology	2/2/2025	9/1/2025	211	-3.8%	-25.7%
2338.HK	Weichai Power	4/1/2025	10/2/2025	184	-6.6%	-28.5%
7936.T	Asics Corp.	12/4/2023	11/3/2025	700	219.6%	185.1%
2020.HK	Anta Sports Products	6/2/2024	11/3/2025	519	-0.4%	-29.0%
6702.T	Fujitsu	9/3/2024	11/3/2025	426	43.5%	14.5%
7453.T	Ryohin Keikaku	1/7/2025	11/3/2025	300	79.0%	53.4%
ZLAB	Zai Lab	3/2/2025	11/3/2025	246	-15.7%	-40.0%
RMD.AX	ResMed Inc.	3/2/2025	12/1/2025	274	0.9%	-21.3%
259960.KS	Krafton	4/1/2025	12/1/2025	244	-26.0%	-47.3%
GMG.AX	Goodman Group	7/2/2025	12/1/2025	152	-14.6%	-25.0%
8697.T	Japan Exchange Group	9/1/2025	12/1/2025	91	13.8%	11.5%
005380.KS	Hyundai Motor	10/2/2025	12/9/2025	68	40.9%	41.7%
6762.T	TDK	9/3/2024	1/6/2026	490	16.5%	-15.6%
7012.T	Kawasaki Heavy Industries	12/2/2024	1/6/2026	400	115.9%	91.7%
603296.SS	Huaqin Co.	6/2/2025	1/6/2026	218	44.0%	23.3%
7014.T	Namura Shipbuilding Co.	8/3/2025	1/6/2026	156	23.6%	11.0%
XRO.AX	Xero Ltd.	12/1/2025	12/30/2025	29	-7.3%	-8.6%
RELI.BO	Reliance Industries	6/2/2025	2/4/2026	247	3.5%	-21.1%
6146.T	DISCO	9/1/2025	2/4/2026	156	79.1%	69.2%
1109.HK	China Resources Land	4/1/2025	2/4/2026	309	29.9%	-0.5%
TITN.BO	Titan Co.	3/2/2025	3/2/2026	365	39.0%	3.3%
9660.HK	Horizon Robotics	5/1/2025	3/2/2026	305	3.7%	-30.0%
000810.KS	Samsung F&M	11/3/2025	3/2/2026	119	19.9%	10.7%
8802.T	Mitsubishi Estate	1/6/2026	3/2/2026	55	32.0%	25.4%
5105.T	TOYO TIRE	10/2/2025	4/1/2026	181	-4.0%	-6.5%
MMYT	MakeMyTrip Ltd.	10/2/2025	4/1/2026	181	-59.8%	-62.3%
FUTU	Futu Holdings	5/3/2026	5/25/2026	22	-42.5%	-44.2%
2330.TW	TSMC	6/2/2025	7/2/2026	395	165.2%	137.7%
FPH.AX	Fisher & Paykel Healthcare Corp.	12/1/2025	7/2/2026	213	-0.8%	-10.7%
1318.HK	Mao Geping Cosmetics Co.	2/4/2026	7/2/2026	148	-34.8%	-37.1%
BABA	Alibaba Group	3/2/2026	7/2/2026	122	-31.9%	-30.9%
278470.KS	APR Corp.	3/2/2026	7/2/2026	122	50.9%	51.9%

Source: Goldman Sachs Global Investment Research, Bloomberg

Appendix III - Price Target, Risks and Methodologies

Ticker	Company Name	PTMR
Alq.AX	ALS Ltd.	Our 12-month target price of A$28.30 is based on an equally-weighted blend of: (1) DCF valuation, which values ALQ at ~A$28.80/share; and (2) NTM EV/EBIT which values ALQ at ~A$27.8/share. We assume a WACC of 7.9% and a terminal growth rate of 2.5%. Key risks include the timing, pace, and duration of the commodities upcycle, commodities volume and pricing, and worse-than-expected demand dynamics in the Life Sciences.
1211.HK	BYD Co.	We are Buy rated with 12m DCF-based (WACC 10.8%, TGR 2.0%) TPs of Rmb137/HK$134 on the A/H shares (applying a 10% discount to the H-share). Downside risks: (1) Intensifying electric vehicle competition; (2) Slower-than-expected overseas expansion progress; (3) Lower-than-expected external battery sales.
3288.HK	Foshan Haitian Flavouring & Food	Our 12-month TP of Rmb40.6 for the A-share is based on a 28.0x 2027E P/E discounted back to 2026E end using an 8.9% CoE, referring to the avg. fwd P/E of Kikkoman in the past 3 years. Our 12-month TP of HK$45.6 for the H-share is based on a 27.4x 2027E P/E with 2% H-A share valuation discount to A-share multiple referring the avg. last 3M discount of BYD/Midea. Key risks: Downside risks: 1) Slower-then-expected catering sales recovery; 2) Fiercer industry competition; 3) Raw material costs swings; 4) Food quality and adverse publicity. Upside risks: 1) Faster-than-expected successful business reform to drive sales growth; 2) Stronger-than-expected 2B growth; 3) Cost deflation benefits.
1364.HK	Guming Holdings Ltd.	Our 12-m TP of HK$31.0 is based on 20X 2026E P/E. Key risks include: 1) Unable to manage the large store network; 2) Lower-than-expected store expansion; 3) Underperformed store productivity; 4) Intensified competition, fashion risk and price war; 5) Increase in store level cost; 6) Larger-than-expected subsidies to franchisees; 7) Lower scale economy with geographical expansion; and 8) Food safety issues.
0012.HK	Henderson Land	We are Buy rated on Henderson Land. Our 12m target price of HK$41.0 is FY26E NAV-based (target NAV discount of -40%). Key downside risks include: 1) Less active policy support than we expect, which could significantly erode property buyer confidence and lead to lower-than-expected market recovery. 2) Federal Reserve rate cuts falling short of expectations, meaning the Fed maintains a tighter monetary policy for longer than anticipated, could directly impact buyer affordability by increasing borrowing costs and reducing the purchasing power of prospective homeowners. 3) Slower-than-expected farmland resumptions, which are often crucial for urban expansion and new development projects, could delay the supply of new land and infrastructure. Concurrently, insufficient Northern Metropolis policy support (e.g., for specific regional development initiatives) could hinder investment in those areas, leading to weaker demand for property and slower project execution. 4) Worse-than-expected Hong Kong IP portfolio performance driven by factors such as a worse-than-expected retail recovery and office oversupply, reduced business activity, or shifts in investor sentiment towards the region.
0388.HK	Hong Kong Exchanges	Our 12-m target price of HK$540 is based on a 3-stage DDM method, implying 34X 2027E P/E. Downside risks include: 1) Higher competition with onshore capital markets for business; 2) Lower velocity in the cash market; 3) Fee pressure from reduced fees onshore in China; and 4) a sustained deflationary environment in China.
2317.TW	Hon Hai	We are Buy rated on Hon Hai. Our 12-month target price of NT$400 is based on a 21.0x 2026E P/E multiple, which is set in line with the regression of peers' P/E vs. forward year earnings growth and OPM. Key risks: (1) Slower-than-expected ramp-up of AI servers business; (2) weaker-than-expected EV total solution performance across EV assembly, design, software and semis; (3) slower-than-expected ramp-up of capacity globally; and (4) fiercer-than-expected competition in consumer electronics EMS business.
012330.KS	Hyundai Mobis	Our 12-month target price of W710,000 is based on a target P/E multiple of 15.0x applied to 2035E EPS discounted back to June 2027. Downside risks: 1) Cost inflation-related margin pressure along with production disruption from the fire in the India plant 2) Slower-than-expected execution in terms of Boston Dynamics or HMG autonomous driving push.
JARD.SI	Jardine Matheson	We are Buy rated on Jardine Matheson with a 12-month target price of US$90.0. Our TP is NAV-based with a -25% holdco discount applied. Key risks: (1) Weaker-than-expected passenger vehicle demand and intensifying competition in Indonesia and potential increase in fuel prices as well as fluctuation in FX and commodity prices leading to higher earnings uncertainty for Astra; (2) Greater-than-expected competition from new quality office supply, thus longer-than-expected office rental market downcycle in HK and further weakening residential market in mainland China could weigh on HKLand earnings; (3) Slower-than-expected business improvement at Dairy Farm even with the disposal of loss-making Yonghui Supermarket; (4) Slower-than-expected recovery of HK retail sales and HK inbound tourists as well as soft consumption sentiment in mainland China to impact on retail rents of HKLand and hotel business of Mandarin Oriental.
6861.T	Keyence	Our 12-month target price of ¥115,000 is based on FY3/28E EV/EBITDA, applying the sector-average multiple of 10X and a 170% sector-relative premium. Key downside risks include (1) disappointment in the company's enhancement towards shareholder returns, (2) a slowdown in capex in tech-related industries, its major client industries, and (3) OPM dropping below 50%, the symbolic standard margin for the company.
105560.KS	KB Financial Group	Our 12m TP of W214,000 is based on a target P/B multiple of 1.22X, derived using the GGM formula [(ROE-g)/(COE-g)]. Downside risks: 1) additional provisioning or capital injection towards its overseas entities undergoing the multi-year clean-up process, 2) change in political landscape leading to meaningfully higher risk of national service or/and government intervention.
6920.T	Lasertec	Our 12-month target price of 70,000 is based on the global SPE sector average EV/EBITDA of 18X and our FY6/28 estimates. We then apply a sector-relative premium of 50%. Key risks: Decline in market share due to new entrants, lack of progress in ACTIS adoption by wafer fabs, weaker customer investment appetite for leading-edge process nodes, rapid appreciation of the yen against the US dollar.

Source: Goldman Sachs Global Investment Research

Ticker	Company Name	PTMR
NTES	NetEase Inc.	We are Buy rated on NetEase (NTES/9999.HK), with 12-month SOTP-based target prices of US$169/HK$264. Key downside risks: 1) Weaker performance of legacy games; 2) slower-than-expected monetization ramp-up of new games; 3) more intensive competition in games, e-commerce, education and other business areas; 4) rising content costs associated with music and advertising expenses related to the online education business.
8046.TW	NYPCB	Our 12-month target price of NT$2,310 for NYPCB is based on 21x 2028 P/E, which is +1.5x STDV higher than the past upcycle average P/E (13.3x). Key downside risks: (1) Slower-than-expected PC demand recovery, (2) Slower-than-expected ABF substrates pricing upgrading outlook, and (3) Slower-than-expected NYPCB new high-end capacity qualification progress.
MRTI.BO	Maruti Suzuki India	We are Buy rated on Maruti Suzuki with a 12-m TP of Rs16,900 based on a P/E based valuation methodology (27x P/E to Q5 to Q8 EPS estimates). Downside risks: Inability to reverse recent market share moderation, raw material inflation, margin impact from recent price adjustments.
8411.T	Mizuho FG	Our 12-month target price of ¥9,300 is based on a target P/B of 1.72x and our end-FY3/28E BPS estimate of ¥5,398. We derive our target P/B multiple from our normalized FY3/29E ROE estimate of 13.76% and a cost of equity of 8.0%. We use a risk-free rate of 0.0%, an equity risk premium of 10.0%, and a long-term growth rate of 0.0% to calculate our cost of equity. Key downside risks: (1) Long-term interest rates declining amid global economic slowdown outlook; (2) credit cycle worsening due to prolonged geopolitical risk; and (3) larger-than-expected cost increases under the stable system and business management, etc.
6981.T	Murata Mfg.	We are Buy-rated on Murata Mfg. with a 12-month price target of ¥12,900. Our target price is based on FY3/29E EV/GCI vs. CROCI/WACC, applying an 80% premium to our sector multiple of 10X (implies FY3/29E P/E of 30X). Key risks: Decline in smartphone production volume, deterioration in MLCC supply/demand, and yen appreciation.
RMS.AX	Ramelius Resources	Our 12m PT of A$4.85 is derived on a blend of fundamental value (85% weighting) comprising 75:25 NAV:NTM EBITDA (with a target multiple of 10.0x) and an M&A value (15% weighting, based on 1.3x NAV). Risks: Construction and commissioning risk; operating risk; cost inflation, commodity prices; macro risks; growth, returns and M&A.
RMD.AX	ResMed Inc.	Our 12-month price target of A$46.7 is based on a 50%/50% blended DCF (8.1% WACC/3.0% TGR) and NTM EV/EBIT valuation methodology. Our DCF valuation is based on a 10-year forecast of RMD's current business and new opportunities which include High Flow Oxygen Therapy (HFOT). Our EV/EBIT multiple of 21x for RMD is based on the stock's history relative to the index (ASX200) and relative to its peers, normalising for differences in growth. Key risks include: (1) US tariffs implementation, (2) US reimbursement pressures, (3) Reduction in therapy compliance.
005930.KS	Samsung Electronics	Our 12m 2026-2027E EV/EBITDA-based SOTP target price for the common share is W490,000. Our 12-month target price for the preference share is W360,000, which is based on our target preferred-to-common shares discount of 27%, derived from averaging: 1) the preferred discount of the 2-factor model and 2) the average preference share discount to common shares during the past 1 month. We are Buy rated on both the common and preference shares. Key downside risks: 1) major deterioration in memory supply/demand, 2) sharp contraction in smartphone margins, and 3) mobile OLED market share loss.
600183.SS	Shengyi Tech	We derive our 12M TP of Rmb247 on a target P/E multiple of 50.4x 2027E EPS. Our target P/E of 50.4x is derived from the correlation between P/E and EPS growth of Shengyi Tech's peers, based on the company's 2027-28E EPS YoY growth. Key risks: Lower-than-expected AI infrastructure investment, Lower-than-expected allocation, Change in the direction of technology.
300124.SZ	Shenzhen Inovance Technology Co.	Our 12-month TP of Rmb92.9 is based on 35x 2027E P/E. Downside risks: 1) Slower-than-expected industrial automation market share gains; 2) Weaker-than-expected margin trends; 3) EV component segment ramp-up coming slower than expected; 4) general manufacturing capex/automation demand slowing down.
010950.KS	S-Oil Corp.	We are Buy-rated on S-Oil with a 6.5x 2028E EV/EBITDA-based 12-month target price of W156,000 (2028E implied value discounted back to 2027E based on 10% cost of equity). Key risks to our investment thesis and target price include weaker-than-expected refining margins, delays in construction and ramp-up of Shaheen project, lower for longer chemical margins, stronger than expected Korean Won against USD.
TACN.BO	Tata Consumer Products Ltd.	We are Buy rated on Tata Consumer with a 12-month target price of Rs 1,440, based on a SOTP. We value the FMCG business at a 50x target P/E for Q5 to Q8 EPS and 7x target P/S for the 50% stake in the Starbucks India JV. Our target multiple for TCPL's FMCG business of 50x P/E is in line with average 1-year forward trading P/E multiple of our Consumer Staples coverage, and 7x P/S at a premium to the average 1-year forward trading P/S multiple of restaurant companies in India, to reflect the higher potential growth rate in the out of home beverages market. Key risks include 1) inability to scale up innovations in the growth businesses, 2) sharp input cost pressures for tea and salt business, 3) further increase in competitive intensity in RTD beverages, and 4) non-branded business profits could decline if there is a correction in coffee prices.
2359.HK	WuXi AppTec Co.	Our 12-month target price of HK$169.8 (H) is based on a 12m fwd P/E at 20x. The A-share TP of Rmb151.9 (A) is derived based on the H-share TP with HKD/CNY 0.92 and A/H premium of -2.5%. Downside risks: 1) GLP-1 concentration risks; 2) Pricing pressure arising from domestic and global peers; 3) Geopolitical uncertainty; 4) Uncertainty in the success-based business discovery model; 5) Slower-than-expected ramp-up of new business.
YUMC	Yum China Holdings	We are Buy rated on YUMC with 12-m SOTP-based target prices of US$59/HK$459 for the ADR/H-share. Our target multiples are 11x 2026E EV/EBITDA for KFC China and 7x for Pizza Hut China. Key downside risks: 1) weaker-than-expected SSSG; 2) higher-than-expected commodity costs; 3) stronger-than-expected competition; and 4) lower-than-expected execution efficiency.

Source: Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

We, Michael Snaith, Joy Nguyen, Matthew Ross, Daiki Takayama, Sho Kawano and Caleb Chan, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

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Disclosures

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The rating(s) for Hong Kong Exchanges is/are relative to the other companies in its/their coverage universe: AIA Group, China Life Insurance Co. (A), China Life Insurance Co. (H), China Pacific Insurance (A), China Pacific Insurance (H), China Taiping Insurance Holdings, FWD Group Holdings, Hong Kong Exchanges, New China Life Insurance (A), New China Life Insurance (H), PICC Group (A), PICC Group (H), PICC Property and Casualty Co., Ping An Insurance Group (A), Ping An Insurance Group (H), Prudential Plc, Prudential Plc (H), Singapore Exchange

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Company-specific regulatory disclosures

Compendium report: please see disclosures at https://www.gs.com/research/hedge.html. Disclosures applicable to the companies included in this compendium can be found in the latest relevant published research

Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	59%	43%

As of July 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,104 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

Price target and rating history chart(s)

Compendium report: please see disclosures at https://www.gs.com/research/hedge.html. Disclosures applicable to the companies included in this compendium can be found in the latest relevant published research

Target price history table(s)

Hong Kong Exchanges (0388.HK)

Date of report	Target price (HK$)	Closing price (HK$)
29-Apr-26	540.00	419.80
15-Apr-26	528.00	414.00
12-Jan-26	546.00	426.20
11-Dec-25	550.00	400.80
05-Nov-25	562.00	423.60
18-Sep-25	544.00	444.00
01-Sep-25	524.00	454.00
20-Aug-25	509.00	441.20
28-Jul-25	500.00	449.40
08-Jul-25	450.00	417.40
30-May-25	455.00	395.80
09-May-25	398.00	372.40
30-Apr-25	386.00	340.80
10-Apr-25	378.00	306.80
27-Feb-25	431.00	365.00
17-Feb-25	410.00	340.80
23-Oct-24	395.00	314.80
10-Oct-24	397.00	334.20
27-Sep-24	318.00	308.60
13-Sep-24	306.00	224.00
21-Aug-24	320.00	228.60
24-May-24	345.00	274.00
14-May-24	341.00	284.40
24-Apr-24	330.00	239.00
10-Apr-24	325.00	234.60
29-Feb-24	322.00	242.80
08-Jan-24	334.00	247.80

BYD Co. (A) (002594.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
12-Feb-26	137.00	91.16
03-Nov-25	144.00	99.60
01-Sep-25	133.00	109.70
26-May-25	424.00	127.00
28-Apr-25	436.00	120.00
31-Mar-25	445.00	124.97
21-Feb-25	443.00	127.67
14-Jan-25	388.00	92.10
30-Oct-24	376.00	101.85
16-Oct-24	377.00	96.60
09-Oct-24	368.00	101.90
03-Sep-24	325.00	82.36
30-Apr-24	309.00	72.83
27-Mar-24	304.00	70.66
21-Feb-24	318.00	61.00
07-Nov-23	362.00	80.32
29-Aug-23	336.00	82.24

Hong Kong Exchanges (0388.HK)

Date of report	Target price (HK$)	Closing price (HK$)
13-Dec-23	351.00	247.20
13-Nov-23	361.00	285.60
20-Oct-23	365.00	285.20
11-Oct-23	368.00	292.00
16-Aug-23	380.00	299.60

BYD Co. (A) (002594.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)

BYD Co. (H) (1211.HK)

Date of report	Target price (HK$)	Closing price (HK$)
12-Feb-26	134.00	98.55
03-Nov-25	141.00	99.10
01-Sep-25	130.00	108.40
16-Jun-25	139.00	129.80
26-May-25	416.00	141.73
28-Apr-25	428.00	127.07
31-Mar-25	437.00	130.93
21-Feb-25	415.00	130.80
14-Jan-25	364.00	85.67
30-Oct-24	359.00	98.33
16-Oct-24	360.00	90.20
09-Oct-24	351.00	95.40
03-Sep-24	310.00	78.53
30-Apr-24	295.00	71.87
27-Mar-24	290.00	67.60
21-Feb-24	304.00	62.10
07-Nov-23	346.00	82.67
29-Aug-23	321.00	79.27

Samsung Electronics (Pref) (005935.KS)

Date of report	Target price (W)	Closing price (W)
31-May-26	360,000	202,500
30-Apr-26	245,000	158,300
07-Apr-26	220,000	130,900
11-Mar-26	200,000	138,900
29-Jan-26	159,000	115,600
08-Jan-26	142,000	101,900
16-Dec-25	110,000	79,800
30-Oct-25	99,000	82,500
14-Oct-25	89,000	72,300
22-Sep-25	78,000	66,700
31-Jul-25	69,000	57,600
01-May-25	61,000	46,850
01-Apr-25	64,000	47,700
02-Feb-25	59,000	43,000
08-Jan-25	60,000	46,800
16-Dec-24	63,000	46,550
31-Oct-24	68,000	47,950
08-Oct-24	71,000	49,900
23-Sep-24	78,000	52,400
31-Jul-24	88,000	64,900
05-Jul-24	87,000	68,000
05-Apr-24	85,000	69,000
21-Mar-24	81,000	65,800
17-Dec-23	77,000	59,300
31-Oct-23	75,000	53,600
20-Sep-23	76,000	56,100

Keyence (6861.T)

Date of report	Target price (¥)	Closing price (¥)
29-Jul-26	115,000	77,590
29-Jun-26	110,000	78,200
28-May-26	100,000	75,180
24-Apr-26	82,000	63,180
09-Mar-26	75,000	57,870
29-Jan-26	71,000	58,780
14-Jan-26	66,000	58,830
13-Oct-25	64,000	60,440
17-Jul-25	63,000	55,940
20-Jun-25	82,000	56,180
11-Apr-25	85,000	56,100
31-Jan-25	100,000	67,250
07-Oct-24	95,000	69,400
16-Aug-24	100,000	66,340
02-Jul-24	96,000	71,090
25-Apr-24	95,000	64,580
12-Apr-24	93,000	64,900
02-Feb-24	91,000	66,090
27-Oct-23	90,000	53,050

Samsung Electronics (005930.KS)

Date of report	Target price (W)	Closing price (W)
30-Jul-26	490,000	207,000
31-May-26	480,000	317,000
30-Apr-26	320,000	220,500
07-Apr-26	285,000	196,500
11-Mar-26	260,000	190,000
29-Jan-26	205,000	160,700
08-Jan-26	180,000	138,800
16-Dec-25	140,000	102,800
30-Oct-25	123,000	104,100
14-Oct-25	109,000	91,600
22-Sep-25	96,000	83,500
31-Jul-25	84,000	71,400
01-May-25	74,000	55,500
01-Apr-25	77,000	58,800
02-Feb-25	72,000	52,400
08-Jan-25	73,000	57,300
16-Dec-24	75,000	55,600
31-Oct-24	82,000	59,200
08-Oct-24	86,000	60,300
23-Sep-24	95,000	62,600
31-Jul-24	110,000	83,900

Keyence (6861.T)

Date of report	Target price (¥)	Closing price (¥)

Samsung Electronics (005930.KS)

Date of report	Target price (W)	Closing price (W)
05-Jul-24	108,000	87,100
01-Jul-24	105,000	81,800
30-Apr-24	103,000	77,500
05-Apr-24	102,000	84,500
21-Mar-24	97,000	79,300
17-Dec-23	95,000	73,300
20-Sep-23	93,000	69,600

Yaskawa Electric (6506.T)

Date of report	Target price (¥)	Closing price (¥)
13-Jul-26	9,000	5,972
28-May-26	9,200	7,136
29-Apr-26	7,300	5,381
10-Apr-26	6,500	4,894
09-Mar-26	6,300	4,325
09-Jan-26	6,000	5,026
13-Oct-25	5,000	4,085
03-Oct-25	3,400	3,178
08-Jul-25	3,000	2,833
20-Jun-25	3,700	3,190
11-Apr-25	3,900	2,881
06-Apr-25	4,600	3,344
10-Jan-25	5,300	4,271
24-Dec-24	5,500	3,950
04-Oct-24	6,400	5,023
16-Aug-24	6,700	4,796
05-Jul-24	7,000	5,972
05-Apr-24	7,500	6,174
13-Sep-23	7,000	5,725

Shengyi Tech (600183.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
14-Jul-26	247.00	147.90
11-Jun-26	217.60	149.73
30-May-26	146.30	140.62
22-May-26	127.40	108.01
20-Jan-26	111.00	68.00

Victory Giant (300476.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
20-Jan-26	550.00	261.50

Price targets shown in table(s) are unadjusted for corporate actions.

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